

REPUBLIC OF UGANDA

NATIONAL COTTON, TEXTILES AND APPARELS STRATEGY
(FY 2020/21 – FY 2029/2030)

MINISTRY OF TRADE, INDUSTRY AND COOPERATIVES

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FOREWORD

The Cotton, Textiles and Apparels (CTA) industry is a priority sector for the Government of Uganda because of its high potential to stimulate economic activity and create thousands of new jobs particularly impacting on youth and women. It also has a high potential to stimulate growth in other associated sectors of the economy and earn the country significant amounts of foreign exchange. The development of the CTA industry value chain is key to the successful attainment of the Uganda Vision 2040 and the implementation of the successive editions of the National Development Plan (NDP).

The National Cotton Textiles and Apparels Strategy (NCTAS) prioritizes four strategic areas for investment in order to develop a competitive, sustainable, and equitable CTA industry value chain. These included: increasing availability of CTA industry raw materials and accessories; stimulating and attracting investment in the CTA industry; increasing access to markets; and enhancing the efficiency of CTA industry performance through technology upgradation and skills development. The Strategy represents Uganda's commitment to increase public investments in the CTA industry, incentivise Ugandan citizens to get actively engaged in the industry and create an enabling environment to attract Foreign Direct Investment (FDI) from private sector industry players globally.

Ministry of Trade, Industry and Cooperatives (MTIC) and National Planning Authority (NPA) provided leadership in the development of the Strategy. The process benefitted from the input of other relevant Government Ministries, Departments, and Agencies (MDAs). In particular, the Cotton Development Organization (CDO) under the Ministry of Agriculture, Animal Industry and Fisheries (MAAIF) provided important data on cotton production trends and projections. Through a series of multi-stakeholder meetings, consultations and communications, private sector actors including investors and financial services providers were able to provide input into the process of developing the Strategy. The process also benefitted from the input of selected stakeholders engaged in the CTA industry related research and training. Government is particularly indebted to Msingi East Africa who provided financial resources and technical assistance towards the development of this Strategy.

Minister for Trade, Industry and Cooperatives

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LIST OF ACRONYMS

AfCFTA	Africa Continental Free Trade Area
AGOA	African Growth and Opportunity Act
B2B	Business to Business
CAD	Computer Aided Design
CAGR	Compound Annual Growth Rate
CET	Common External Tariff
CDO	Cotton Development Organization
COMESA	Common Market for Eastern and Southern Africa
CmiA	Cotton made in Africa
CTA	Cotton Textiles and Apparels
DIT	Directorate of Industrial Training
EAC	East African Community
EU	European Union
FDI	Foreign Direct Investment
GDP	Gross Domestic Product
ICT	Information and Communication Technology
MAAIF	Ministry of Agriculture Animal Industry and Fisheries
MDA	Ministries Departments and Agencies
MES	Ministry of Education and Sports
MFPEd	Ministry of Finance Planning and Economic Development
MING	Ministry of ICT and National Guidance
MT	Metric Tonnes
MTIC	Ministry of Trade Industry and Cooperatives
MSC	Microfinance Support Center
NARO	National Agricultural Research Organization
NCTAS	National Cotton Textiles and Apparels Strategy
NDP	National Development Plan
NIP	National Industrial Policy
NPA	National Planning Authority
PVoC	Pre-Export Verification of Conformity
SADC	Southern African Development Community
SME	Small and Medium Enterprises
TVET	Technical and Vocational Education and Training
UCGEA	Uganda Cotton Ginners and Exporters Association
UDB	Uganda Development Bank
UDC	Uganda Development Corporation
UEPB	Uganda Export Promotion Board
UIA	Uganda Investment Authority
UNBS	Uganda National Bureau of Standards
USA	United States of America
USD	United States Dollars

EXECUTIVE SUMMARY

The NCTAS is the strategic framework for transforming Uganda's CTA industry into a 5 billion USD industry generating 2.5 billion USD in annual export revenue and employing up to 1.5million Ugandans over the next 10 years. The Strategy is built on 3 core pillars: a commitment to increase public investment into the CTA industry; deliberate actions to support Ugandan citizens, especially women and the youth, to take advantage of the opportunities along the CTA industry value chain; and creating an enabling environment to attract major global brands and other investors to invest in Uganda's CTA industry.

Currently, Uganda produces 37,000 tonnes of high-quality cotton lint suitable for a wide range of applications across the industry value chain. However, up to 90% of this lint is exported without any value addition. There are only two operational spinning mills, and both are part of integrated textile plants producing yarn, fabric, and garments. These mills produce mainly for the domestic and regional market with minimal quantities being exported into the international market. While Uganda is in a position to sell its cotton lint, the desired policy direction is to sell quality textiles into the region and apparel for the domestic and international markets.

The Government of Uganda, cognizant of the constraints that have restricted economic growth in the past, embarked on a number of game-changing reforms to address both infrastructure and processes bottlenecks to private sector investments. In recent years, major improvements have been made to the country's road infrastructure, power generation and transmission, the ICT infrastructure, customs procedures, financial transaction processes, ease of doing business, investment incentives, etc. These reforms have resulted in increased investment and economic activity in the different sectors of the economy.

However, the reforms have not resulted into the desired impact on investments in the CTA industry and hence the need for a dedicated strategy for the industry. This Strategy therefore provides the framework for targeted public sector investments to unlock the potential that the industry presents. Within this strategic framework, Uganda will be marketed as an attractive investment destination for global brands, financial services providers, investors, and international development agencies.

This Strategy represents the deliberate policy of Government to foster growth along the CTA value chain. Over the next 10 years, Government will pursue the strategic interventions outlined in this Strategy to stimulate structural transformation of Uganda's CTA industry. The actions outlined seek to transform the CTA industry by focusing on ensuring the availability of quality raw materials incorporating a fabric supply chain, trade access, logistics, infrastructure, labour, utility quality/costs, access to finance, and coordination of industry operations. Once these elements are all in place, Uganda will become a competitive investment destination and an attractive sourcing destination for international brands and retailers.

The goal of this Strategy is to develop 'a globally competitive and sustainable cotton, textiles and apparels industry creating jobs and improving incomes across the value chain'. The Strategy seeks to achieve four interrelated objectives.

First, Government will implement specific measures to increase the availability of raw materials and accessories necessary for the growth and expansion of the CTA industry. This will include investments to increase the production of quality cotton in adequate quantities to feed into the industry value chain. Secondly, an enabling environment will be created to stimulate the production of and availability of garment accessories that are essential for the development of the CTA industry value chains.

The second objective of this Strategy is to stimulate and attract investment in the CTA industry. Through this Strategy, Government prescribes a set of policy actions that will be implemented to ensure that the business environment for investment in the CTA industry value chains is conducive and competitive to attract strategic investors globally. The actions of Government will, among other things focus on ensuring the supply of reliable and affordable electricity, access to affordable financing and improvements in logistics capabilities that support the growth of Uganda's CTA industry.

Thirdly, Government is committed to implement policy and other measures necessary to ensure the penetration of Uganda textiles and apparels into the regional and international markets, while at the same time growing the domestic market. Through deliberate marketing initiatives such as trade shows, market intelligence, and promotion of green manufacturing, Uganda will be showcased as a highly competitive sourcing destination for major international brands, fashion designers and retail firms. Given the value chain disruptions caused by the COVID19 pandemic, e-commerce operations will be supported and promoted as a vehicle to expand access to regional and global markets. Local market promotion leveraging public sector procurement will also be promoted.

Finally, a set of measures and actions will be implemented to enhance the efficiency of CTA industry performance focussing on technology upgradation and skills development. This will involve deliberate public investments in the industry, sourcing and attracting concessional financing necessary to achieve technology upgradation, acquisition of appropriate technology to the industry and green certification of CTA firms operating in the country. In addition, to ensure the participation of Ugandans and attract expertise in the CTA industry value chain, a comprehensive skills training programme covering fashion, design, marketing, logistics, business processes, standards and compliance, retail operations and other specialized skills will be developed and implemented.

The goal and objectives of this Strategy will be fully realized over the medium (5 years) to the longterm period of 10 years. Specifically, after a successful implementation of this plan, it is anticipated that the following outcome targets will be achieved.

- ☐ Increased production of cotton lint from 37,000 tonnes in 2019/20 to 150,000 tonnes in 2030/31
- ☐ Investment of 5 billion USD attracted into the CTA value chain by 2030
- ☐ Increased CTA annual export revenue from 60 million USD to 2.5 billion USD
- ☐ Employment of 1.5 million people across the industry value chain.

The implementation of the plan over the medium-term (2020/21-2024/25) is estimated to cost UGX 1.9 trillion. It is envisaged that the strategy will be financed from a variety of funding sources including Government financing for strategic CTA industry supporting infrastructure, domestic and foreign direct investment from the private sector, and leveraging financing from development banks, private equity firms and international development partners.

1 INTRODUCTION AND BACKGROUND

1.1 Introduction

The third National Development Plan (NDPIII) and the National Industrial Policy 2020 (NIP2020) identify Cotton, Textile and Apparels (CTA) as one of the high potential industries with high multiplier effects in the wider economy. This is because the CTA sector can have a highly transformative effect in a developing economy by way of generating jobs, boosting foreign exchange earnings, stimulating technology transfer, and generating inclusive growth. It can enhance internal retail and wholesale economic activities, boost private investments, industrial development, improve the financial system, enhance the international image of the country, and deepen its integration into large scale global markets.

The NCTAS is the strategic framework for accelerating the development and transformation of Uganda's CTA industry into a globally competitive industry. Uganda developed a National Textiles Policy in 2009. However, the policy was not fully implemented due to resource and capacity constraints. Within the framework of the National Development Plan and the National Industrial Policy, Government is committed to mobilize its full resources, the private sector, financial institutions, and the cotton farming communities to ensure a comprehensive and timely implementation of the strategic actions set out in this Strategy.

The goal of this Strategy is to build a globally competitive and sustainable Ugandan cotton, textiles and apparels industry creating jobs and improving incomes across the industry value chain'. This goal will be pursued and achieved by implementing the following 4 strategic objectives: i) increasing availability of CTA industry raw materials and accessories; ii) stimulate and attract investment in textile and apparel manufacturing; iii) increase access to markets and, iv) enhance efficiency of CTA industry performance.

The process of developing this Strategy entailed undertaking background analytical work to better understand the situation of Uganda's CTA sector at the time and the convening of a series of consultations with CTA industry stakeholders. This initial process resulted into a draft strategy which was published in 2019. In 2020, Government undertook to review and finalize the development of the Strategy. The review process created additional opportunity to further analyse the CTA industry landscape in order to determine how best Uganda can position itself as a beneficial player in the CTA industry value chain. The review process also benefitted from additional engagements with stakeholders including MDAs and private sector actors in the CTA industry. This review was conducted against the shifting global landscape in the CTA industry caused by the COVID-19 pandemic which disrupted the global supply chains within the industry. The review process resulted into the finalization of this Strategy which represents Uganda's roadmap and strategic direction for the growth of the CTA industry.

The strategic interventions set out in the Strategy will be implemented over the medium (5 years) to the long-term (10 years). This duration of the Strategy is informed by at least two main factors. First, it is important to align the Strategy and its implementation with the national planning process. The medium-term period of the Strategy aligns with the current edition of the National Development

Plan (NDPIII) while the long-term aligns with the 4th edition of the NDP. Secondly, the medium to long-term implementation horizon is essential to monitor progress, evaluation of implementation options and build appropriate industry practices necessary for achieving transformation over the period.

1.2 Background

International experiences show that for many countries, the CTA industry has contributed immensely to the generation of employment, internal economic development, and export growth. Bangladesh, for example, employs approximately 20 million people in the CTA industry and generates exports worth USD 37 billion. India has 45 million people employed directly in the textile and apparels industry alone and the value of textiles and apparels exports is currently estimated at USD 39 billion. The apparel sector is the largest employer in Sri Lanka, responsible for more than 22% of the country's employment and providing some US\$5 billion in export revenue to the country annually.

Evidence from across Africa also points to the potential of the CTA industry to contribute immensely to national economies. For example, Egypt's CTA industry provides employment to an estimated 1.5 million people and generates approximately USD 2.5 billion annually in export revenues. Ethiopia's country data shows that the country's textiles and apparels industry has grown by 51 percent over the last 5 to 6 years attracting more than 65 international textile and apparel investment projects. This growth is attributed to the Ethiopian Government's Industrial Development Strategy that enabled the country to prioritize the design of incentives and policies and targeted infrastructure development to attract investments in the light of growing global competition. At the moment, Kenya and Tanzania generates approximately USD 398m and USD 270m respectively from exports of textiles and apparels compared to Uganda's USD 61 million. The bulk of Uganda's exports is comprised of cotton lint which is estimated at USD 58 million.

A 2015 McKinsey study projects promising alternative scenarios for the CTA industry in East Africa ranging from "niche market" to the region becoming the new alternative for sourcing or joining the mainstream of the global CTA industry. It is clearly evident that forward looking national strategies are an essential tool necessary for any country to take advantage of the opportunities presented by these alternative scenarios for the CTA industry.

Uganda has a strategic advantage to engage in the entire CTA industry value chain right from the production of cotton fibre to textile (yarns and fabrics) manufacturing, apparel manufacturing, apparel accessories (labels, buttons, zippers, hooks, etc.,) and to provision of services such as buying houses, testing houses, brokerage, and marketing services. First, Uganda has a long tradition of growing and producing quality cotton in substantial quantities. By addressing existing remaining bottlenecks to cotton production, this Strategy will make Uganda a leader in quality cotton production to supply the domestic and international markets. Secondly, the country has an already established textile manufacturing potential given the availability of cotton fibre and reliable supply of energy and water. Strategic investments in the sector will attract the requisite technology, expertise, and capital to ensure establishment of additional mills while at the same time ensuring optimal operations of existing mills. Thirdly, Uganda has an abundance of labour largely comprised

of educated young people who can be trained and deployed to drive the apparels manufacturing segment of the CTA value chain. Finally, Uganda is strategically located at the centre of the EAC and COMESA market giving the country an equidistant position to most countries within these regional markets. Currently, most accessories for the CTA industry are sourced from other countries around the world. With this strategic location, Uganda can position itself as a lead player in producing accessories for the CTA industry within the region.

2 MARKET ANALYSIS OF THE CTA INDUSTRY

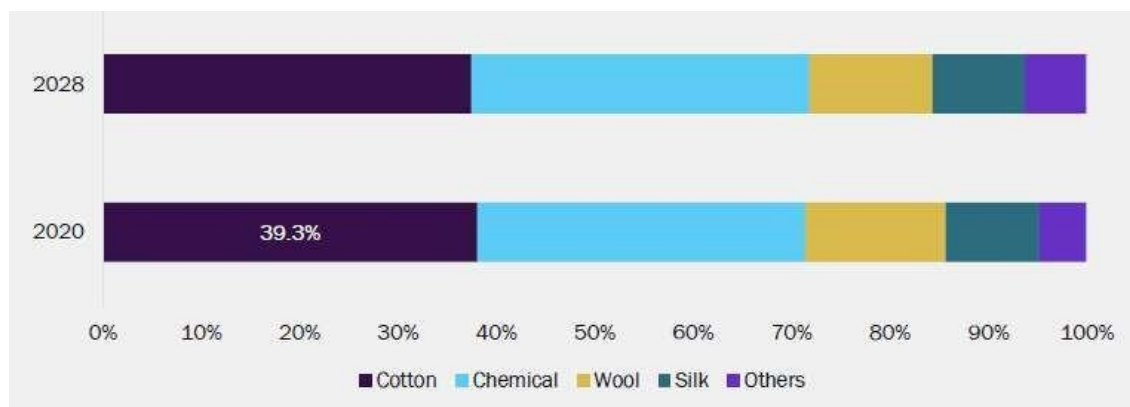
2.1 General Overview

The most recent textile industry trends study by Grand View Research (2021) estimates the global textiles market size at USD 1 trillion. This market is projected to expand at a compound annual growth rate (CAGR) of 4.4 from 2021 to reach USD 1.4 trillion by 2028. According to the report, rising consumer awareness coupled with changing trends in the fashion industry is projected to drive the market. On the other hand, the rise in the e-commerce platforms that support sales and distribution of different types of products manufactured by the industry is expected to drive the demand. Generally, the textiles and apparels market has three main dimensions: raw materials market; applications, and geographical distribution.

2.2 Overview of the raw materials market

In terms of raw materials, cotton is the most widely used raw material in the CTA industry accounting for 39.3% of the global textile market value. According to the preferred fibre and materials market report (2021) published by Textile Exchange, cotton accounted for 24% of the total tonnage of global fibre production in 2020 with polyester accounting for 52%. The World Resources Institute estimates that 60% of women's clothing and 70% of men's clothing contain cotton. Properties such as good absorbency, high strength, and colour retention are expected to ensure sustained demand for cotton as an important raw material for the global textiles and apparels industry. China, India, and the U.S. are the major cotton producers in the world. Cotton raw material-based textile products are expected to witness a CAGR of 4.3% over the period 2021 – 2028. This will be largely on account of their high production and availability across various prominent regions including North America, Europe, and Asia Pacific and the rising demand from the fashion, sports, and apparel industries especially in North America and Europe.

Figure 1: Market share by raw material

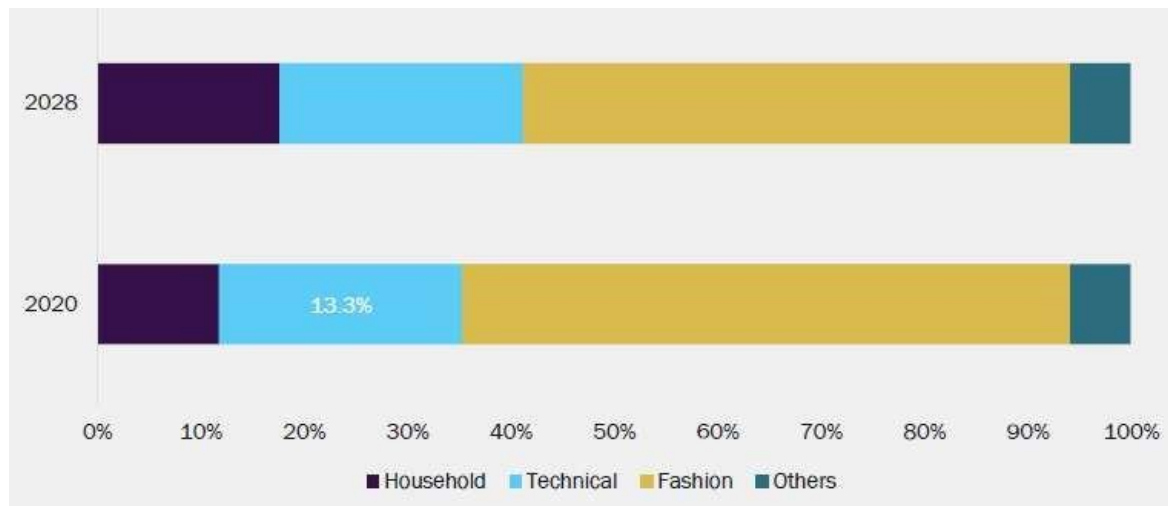


Source: Textile Market Analysis 2017- 2028, Grand View Research Inc

Increased concern towards the environment is further propelling the demand for cotton and other suitable natural fibres such as hemp, linen, silk, and others. Prominent players in the market are establishing business units in the raw-material producing regions for easy raw-material procurement.

2.3 Market Share Analysis by Application

As of 2020, fashion was the largest application segment with a revenue share of 74.3% and is likely to ascend at a significant rate during the forecast period owing to rapidly changing fashion trends, coupled with the demand for high-quality apparel required in sports activities. Figure 2: Market share by Application



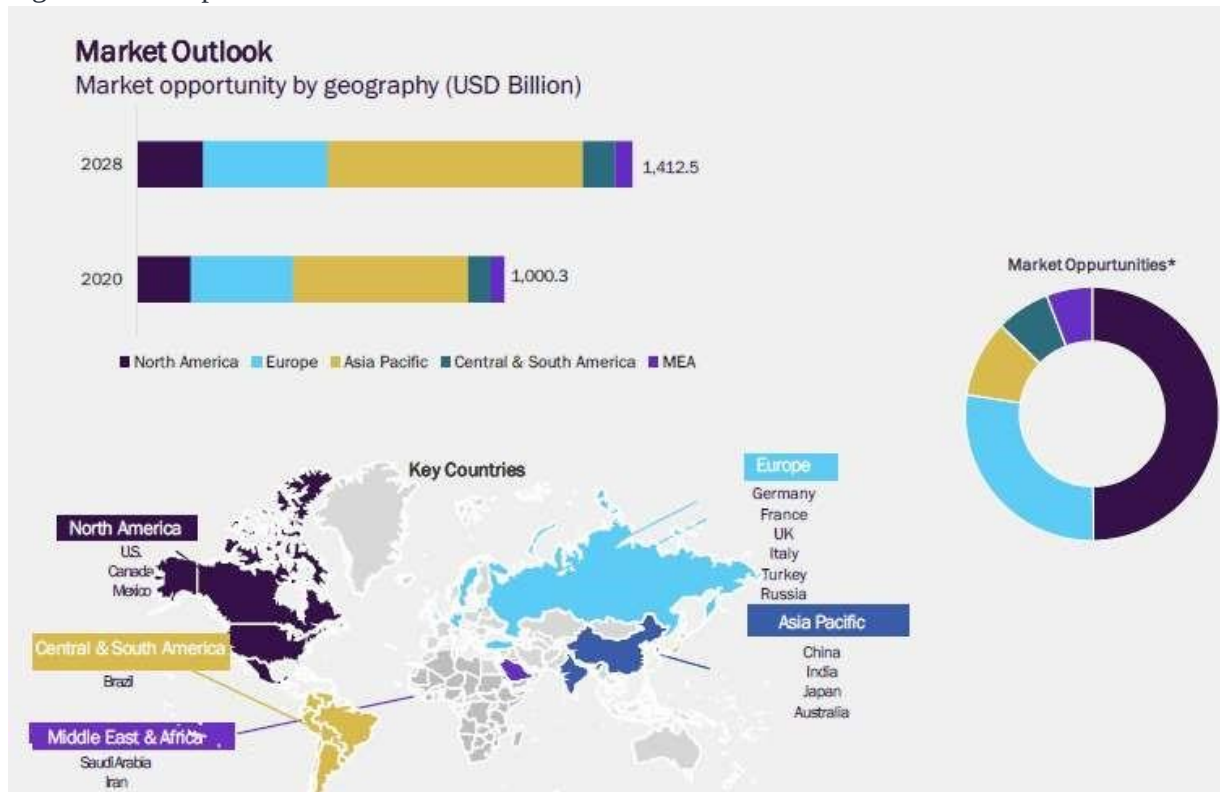
Source: Textile Market Analysis 2017- 2028, Grand View Research Inc

The second largest application segment is technical textiles which is expected to grow significantly as result of increasing demand for medical textiles in the healthcare industry due to the rise in awareness towards health and hygiene is adding growth prospects to the industry. In addition, stringent government regulations to ensure labour safety is compelling the demand for personal protective clothing.

2.4 Market share analysis by geography

Geographically, the global textiles and apparels market may be broken into a number of markets by region each with its unique characteristics, growth potential and entry opportunities and challenges.

Figure 3: A Snapshot of the Global CTA Market



Source: Textile Market Analysis 2017- 2028, Grand View Research Inc

2.4.1 Asia-pacific market

Over the past two decades, the Asia Pacific region has grown significantly based on strong fundamentals, particularly expanding consumer markets and a maturing manufacturing base that attracts foreign investment. During this period, the region was able to triple its global share of Gross Domestic Product (GDP) to reach almost 40%. The sharp rise in per capita income resulting into the creation of a new middle class and an ever-expanding domestic consumer base. The development trajectory of the region has also triggered the development of the textiles and apparels industry making the region a major manufacturing hub for the CTA sector.

The Asia-Pacific textiles and apparels market is considered to be the largest regional market with an estimated value in the range of USD 380 billion in 2018. Current estimates suggest that this market is projected to witness a CAGR of approximately 5.5% annually reaching approximately USD 520 billion by 2024. The growth of the Asia-Pacific market is expected to be driven mainly by changing consumption patterns; increasing population; disposable incomes; increasing demand for clothing; and growing demand for home textiles products such as: blankets, bedsheets, table clothes, mattresses, etc. Among the Asia-Pacific countries, China is the largest exporter with an estimated total share of 37% of the global trade of textiles and apparels.

Recent trends show that one of the important emerging market trends is the growing demand for technical textiles – materials and products largely manufactured for their technical and performance

properties rather than their aesthetic or decorative value. The Asia-Pacific market effectively demonstrates the evolution within the global market for textiles products shifting from standard productions often identified with low innovation and technology level to complex production identified with a high product innovation level where the use of state-of-the-art process technologies becomes essential in the production process. In addition, countries with advanced CTA industry operations are entering a new phase in the industry in which new materials allow to make dynamic and interactive products, able to offer protection, comfort, and performance. The emerging technological convergence which transversally integrates human science, materials and information technology is making it possible for the CTA industry to move towards high-tech, high-performance fabrics designed not just to look attractive, but to offer a significant added value in terms of functionality.

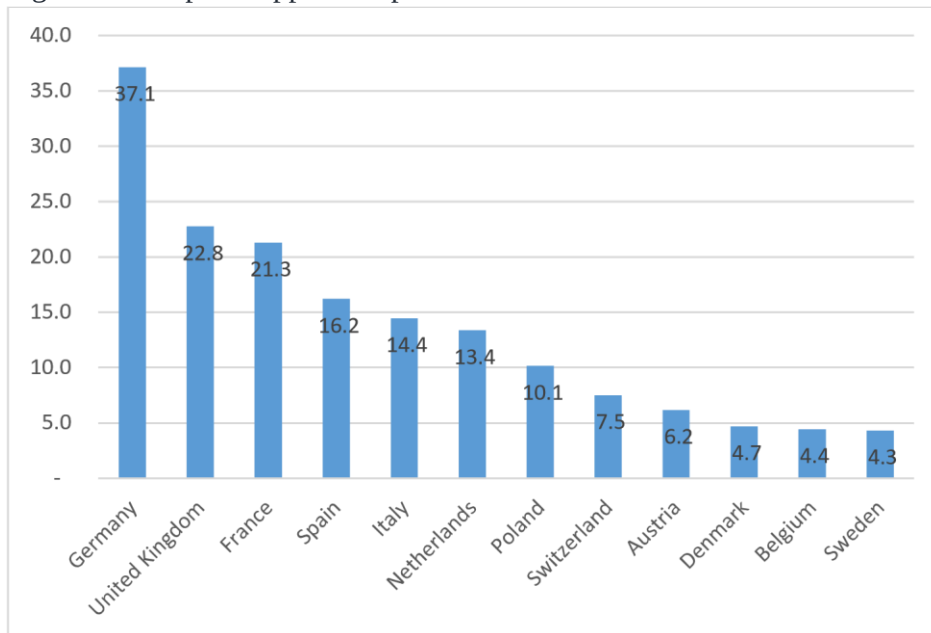
It is projected that the market for technical textiles in the region will increase and is likely to drive the direction of the textiles industry. In 2018, for example, China accounted for approximately 25% of the overall technical textile exports globally. China is also considered the largest manufacturer of technical textiles in the world. Other countries such as India, Bangladesh, Indonesia, and Vietnam are expected to increase their technical textiles production to meet the growing demand from Europe and North America.

The growing specialization and increasing costs of labour in the Asia Pacific market present opportunities for Uganda in a number of ways. First, Uganda can benefit from the abundance of technology and expertise needed to accelerate the development of a domestic CTA industry in the country. Secondly, the rise in incomes and the emergence of a middle class implies that the cost of labour in the region will increase. The textiles and apparels industry is a highly labour-intensive industry. Consequently, lower costs of production and cheap labour are key factors that determine the establishment of industrial and other establishments. Uganda can therefore position itself as a preferred sourcing destination for companies seeking to relate to lost labour cost markets.

2.4.2 European Market

The textile and apparels industry is an important segment of the broader European manufacturing industry. It is estimated to include some 160,000 companies employing approximately 1.5 million people and generating a turnover of €162 billion. An estimated 99.8 percent of the companies are considered to be micro and small-scale industries. At least 67% of all the industries are clothing companies while 33% are textile companies. In 2018, the labour force in the industry was estimated at 70.8% and 29.2 female and male respectively.

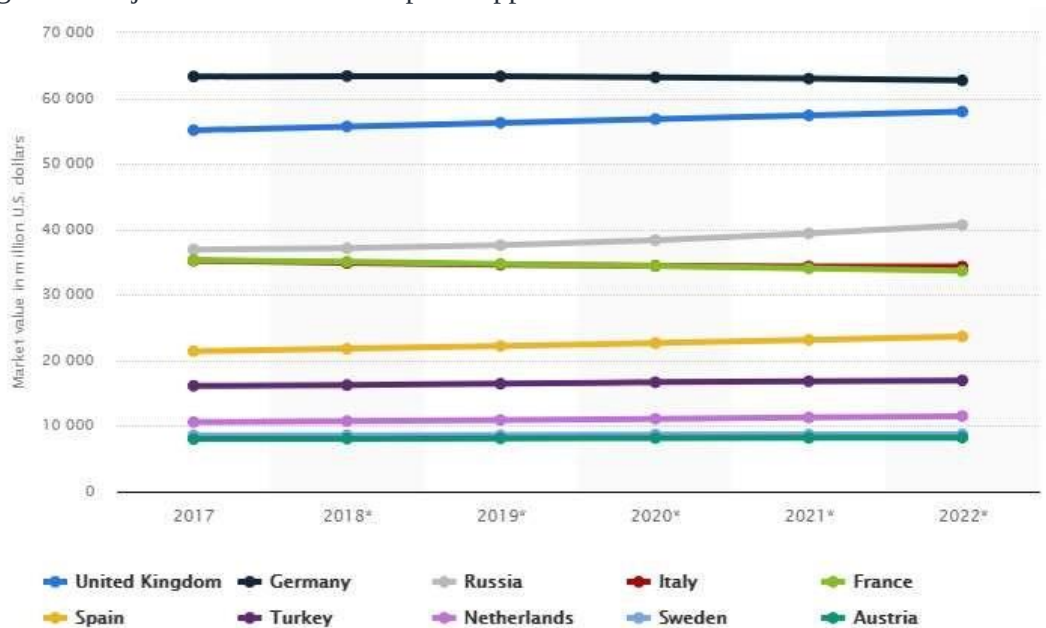
Figure 4: European Apparel Imports



Source: COMTRADE Database

The demand in the European market for imported apparel is currently fairly static and likely to remain so as the population has stabilized. Penetration of this market is therefore dependent on displacing current suppliers which, given Uganda's potential for global competitiveness based on low labour costs, environmentally and socially responsive productions, should be possible.

Figure 5: Projected Growth in European Apparel Market



Source: Statista 2021

Uganda enjoys preferential trade access to the EU market through the EBA (Everything but Arms). The EBA preference is granted to Least Developed Countries (LDCs) on the condition that they meet certain criteria, such as complying with basic standards of human rights. The duty on apparel entering the EU is currently 11% so this preference gives the equivalent competitive advantages to EBA countries.

Table 1: East Africa Apparel (HS61-62) Exports to the EU in '000 Dollars

	2016	2017	2018	2019	2020
Kenya	9,026	9,849	8,341	8,334	12,245
Uganda	746	1,431	2,071	2,096	2,302
Tanzania	2,236	1,743	1,381	2,080	1,631
Rwanda	2	1,715	2,085	2,660	4,081
Total EAC	12,010	14,738	13,878	15,170	20,259
Ethiopia	46,545	52,912	50,413	65,743	95,108

Source: COMTRADE Database

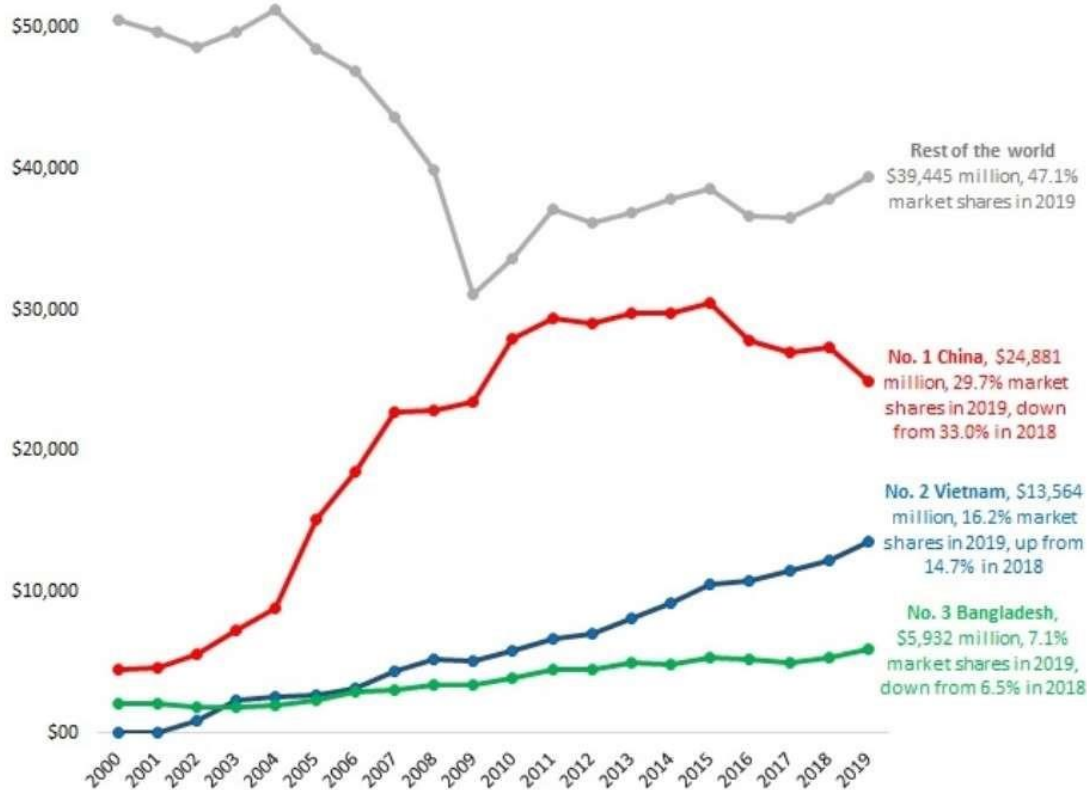
Continental East Africa's total exports to the European market are US\$20.3 million, which is minuscule. The island states of Mauritius and Madagascar have had far more success in penetrating the EU market with apparel exports of US\$ 198 million and US\$ 311 million respectively in 2020.

Uganda's apparel export to Europe is currently based on a single virtuous cycle through the production of Cotton made in Africa (CmiA) branded cotton processed through Fine Spinners to produce garments for CmiA brand members in Europe. There is enormous opportunity for Uganda to increase its share of the European market. Uganda's ability to penetrate this market is therefore dependent on displacing current suppliers which is highly probable given the country's potential for global competitiveness. An analysis of the supply trend for the top 10 apparel suppliers into Europe indicates that China is gradually losing their European market share to other countries like Bangladesh and Vietnam. This trend therefore proves that with the right interventions, Uganda can penetrate this market.

2.4.3 The United States Market

The value of US apparel imports reached \$91.3 billion in 2017, up 40.3 per cent from 2000. It is estimated that the value of US textile and apparel imports could change between -2.2% and 7.6% and between -1.2% and 5.3% respectively in 2019. Because the United States is no longer a major apparel manufacturer but one of the largest apparel consumption markets in the world, apparel products accounted for 75.7 per cent of total US textile and apparel imports in 2017. The US imported apparel from 178 countries in 2020 up from 150 countries in 2018 which shows that US fashion brands and retailers continue to diversify their sourcing bases. At least 78% of the value of the US apparel imports come from the top 10 suppliers, led by China and Vietnam.

Figure 6: Top Apparel Suppliers to the US Market



Source: Office of Textiles and Apparel (OTEXA), 2020

With the exception of China, Vietnam and Bangladesh are the 2 fastest growing exporters of apparel to the European and American Markets. Current data shows that Vietnam is leading Bangladesh in the American Market while Bangladesh leads in the European Market. It is worth noting that Uganda produces more cotton than Bangladesh and Vietnam combined. This implies that with appropriate strategy and investments, Uganda has the potential to generate considerable success in the textiles and apparels market.

The Africa Growth and Opportunities Act (AGOA) provides the best window for Uganda's entry into the United States apparel market. The initiative offers duty-free trade preference of between 17% and 32% depending on fabric composition of the apparel imported. The AGOA system remains in effect until 2025.

Table 2: Apparel (HS61-62) Exports by East African Countries under AGOA (in '000 Dollars)

Year	Kenya	Ethiopia	Madagascar	Mauritius	Tanzania	Rwanda	Uganda	Total
2016	357,750	34,457	117,891	225,297	38,544	453	59	774,451
2017	357,237	58,183	178,631	169,593	42,605	1,513	528	808,290
2018	414,430	120,125	220,499	169,927	47,150	3,063	361	975,555
2019	477,951	228,070	266,049	160,137	58,515	25	193	1,190,940
2020	403,666	240,173	217,244	100,806	43,379	154	44	1,005,466
Total	2,011,034	681,008	1,000,314	825,760	230,193	5,208	1,185	4,754,702

Source: COMTRADE Database

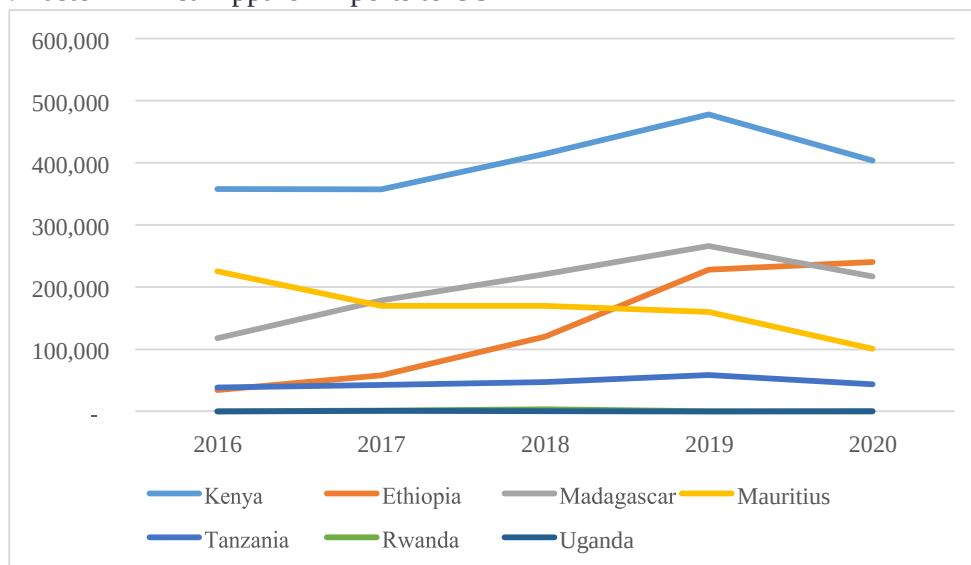
In 2020, Eastern African countries exported a combined \$1 billion worth of apparel to the US market. Kenya is the largest East African exporter to the US under AGOA, with apparel constituting over 83% of the exports. In 2019, Kenya's exports reached a record value of US\$477 million. Kenya is followed by Ethiopia whose textiles and apparels exports have expanded impressively since 2016 from US\$34 million to US\$240 million. Ethiopia has positioned itself as a low-cost, light industry investment destination and has attracted significant investment in export-oriented production. A number of large apparel and footwear companies have set up operations in the country and these investments have partly contributed to its steady growth.

AGOA apparel exports from Mauritius have been on a downward trend over the past three years after a peak of US\$225 million in 2016. Increasing labour costs have affected the country's competitiveness for the US market. Some factories are relocating their Cut, Make and Trim (CMT) business to other East African countries that are also AGOA beneficiaries, while Mauritius continues to produce fabrics competitively due to their knitting/weaving and dyeing infrastructure and continues to export apparel to Europe.

Before Madagascar lost AGOA eligibility in 2009, annual AGOA exports were over US\$200 million per year. Following the reinstatement of Madagascar's AGOA eligibility in June 2014, exports to the US have significantly increased. In 2014, apparel exports were only US\$7 million but have increased to US\$217 million in 2020. There is a continuous interest from buyers to source from this country, which is reflected in its export growth.

Uganda's AGOA exports have fluctuated over the past 15 years reaching a peak of US\$5 million in 2004. By 2009, exports declined to less than US\$1 million. The closure of export-oriented factories led to this decline. It is apparent that Uganda has not benefitted much from this lucrative market under AGOA as exports in 2020 totalled a mere US\$44,000. This represents 0.004% of EAC exports to the USA. This is an opportunity lost.

Figure 7: Eastern Africa Apparel Exports to USA



Source: COMTRADE Database

2.5 Regional Market Analysis

2.5.1 The African Continental Free Trade Area (AfCFTA)

Uganda is a member of the East African Community (EAC) and Common Market for Eastern and Southern Africa (COMESA), and the African Continental Free Trade Area (AfCFTA). The International Cotton Advisory Committee (ICAC) estimates apparel fibre per capita consumption for developing countries at 4.9 kilograms although a significant percentage of it is met by imported and local used clothing. The four-band common external tariff structure recommended in the EAC CTA Strategy, estimates the value of a kilogram of apparel fibre at \$14.3. On the basis of these assumptions, the current demand for apparel in Uganda, EAC, COMESA, and AfCFTA is as shown in the table below.

Table 3: Analysis of Domestic and Regional Market potential by Population Demographic

Market	Population (Million People)	Estimated fibre demand (thousand tons)	Apparel Estimated Fibre demand (Million USD)
Uganda	44	216	3,083
EAC	117	573	8,198
COMESA	390	44	27,327
AfCAFTA	1,300	6370	91,091

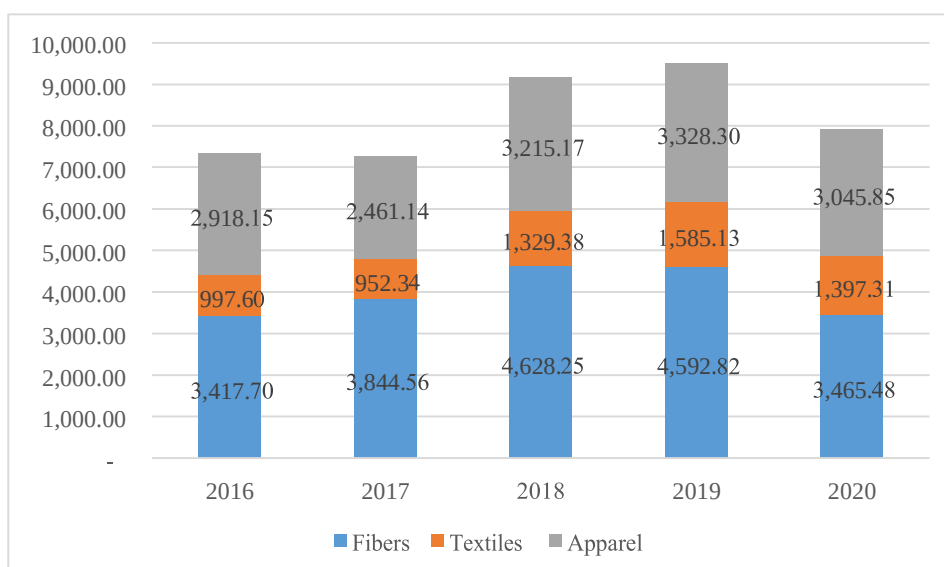
African economies, including Uganda, have embarked on an ambitious programme of regional integration in the form of the African Continental Free Trade Area (AfCFTA). The AfCFTA agreement has created the largest free trade area in the world measured by the number of countries participating. The pact connects 1.3 billion people across 55 countries with a combined gross domestic product (GDP) valued at USD3.4 trillion.

AfCFTA is important because it includes several African countries especially South Africa which is home to a number of large trading conglomerates that include chains of retail outlets throughout the region and beyond. The consolidated purchasing power of these retail chains enables them to place relatively large orders with manufacturing companies in the region. Supplying into AfCFTA is an important starter market for manufacturers interested in penetrating international exports. AfCFTA based retailers are not as discerning in terms of social and environmental compliance, quality and on time delivery as their EU and USA counterparts. The orders are also not as large as the bulk USA orders making them more manageable for emerging exporters.

2.5.2 Common Market for Eastern and Southern Africa (COMESA)

Countries within the COMESA market imported USD 8.4 billion CTA products in 2020 of which only USD 21.87 million (0.26%) was from Uganda. Uganda's exports to COMESA have been steadily increasing since 2016. The percentage composition of fibres is reducing while that of textiles is increasing which indicates that Uganda is increasingly adding value to its COMESA exports at least up to textiles. The high percentage composition of apparels and made-ups is mainly due to the high volume of re-exports to the Democratic Republic of Congo.

Figure 8: COMESA CTA Imports (Million USD)



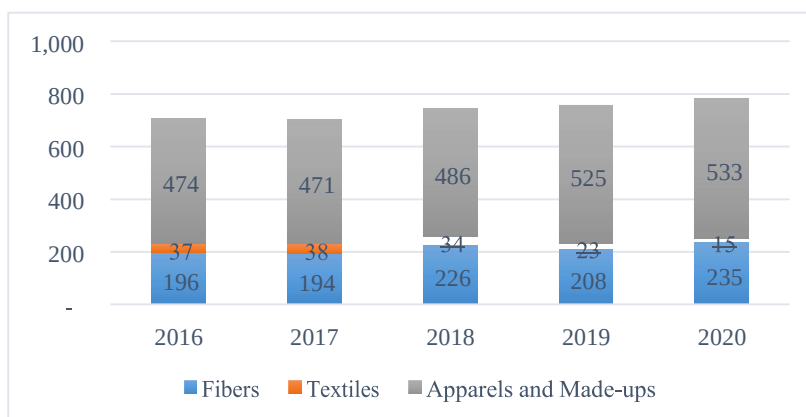
Source: COMTRADE database

2.5.3 East African Community (EAC) Market

Trends in CTA exports by the EAC for the 5-year period of 2016-2020 show a slight increase from US\$ 707 Million in 2016 to about 782 million in 2020. The exports are dominated by apparels and made-ups which account for 68%, followed by fibres at 30% and textiles at 2%.

CTA imports by the EAC grew significantly from US\$ 1.26 Billion in 2016 to US\$ 2.82 Billion in 2020. During this period, the percentage share of apparels and made-ups only increased from 56% to 57%. On the other hand, the share of fibres reduced from 26% to 18% while that of the textiles increased from 18% to 25%. The increase in importation of textiles is attributed to the increase in garmenting activities within the region especially in Kenya.

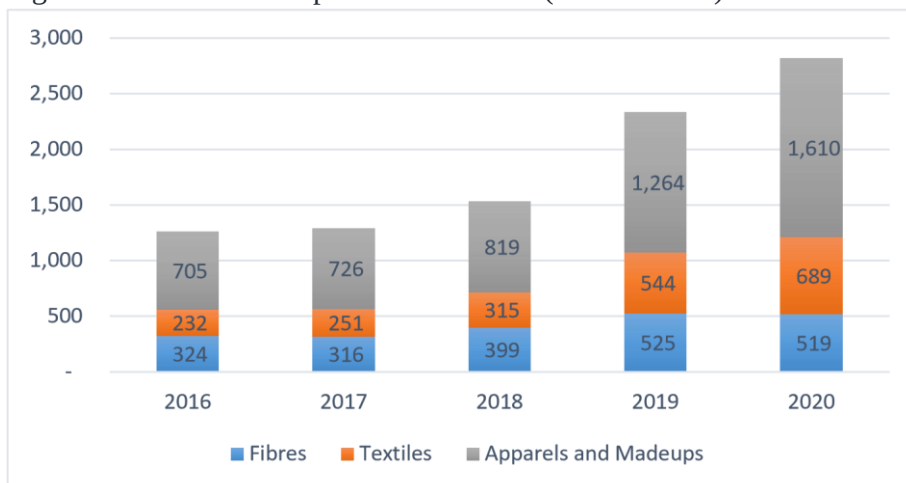
Figure 9: EAC CTA Exports 2016-2020 (Million USD)



Source: COMTRADE database

For apparels and made-up exports, US is the main export market accounting for over 78 percent of the market share, while China and India are the main import markets accounting for a combined market share of over 76 percent.

Figure 10: EAC CTA Imports 2016 – 2020 (Million USD)



Source: COMTRADE database

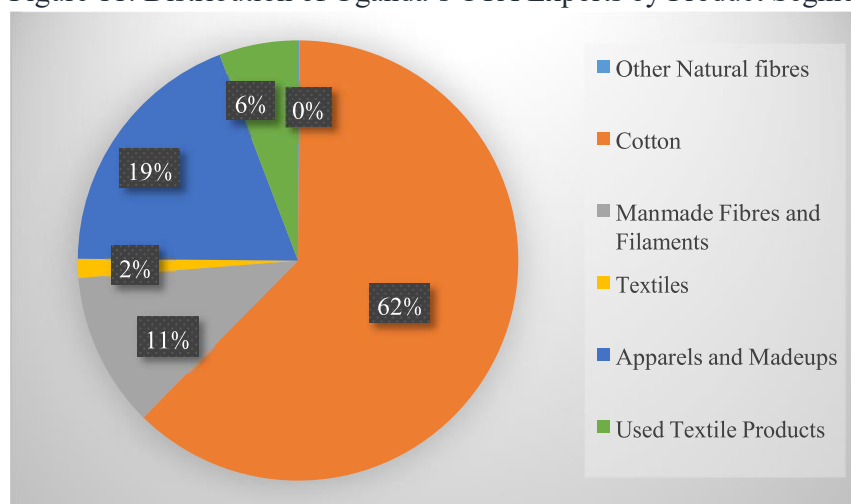
Intra-EAC trade in textiles and made-ups has been on increase. Intra- EAC exports of textiles and made-ups account for about 7.3 percent of the total regional exports of the same products, while intra- EAC imports accounted for about 4.3% of the region's total imports of textiles and madeups. Worn clothing and worn articles account for a small share of 2% of intra- regional trade in apparels and other made-ups.

In the absence of a strong value addition infrastructure, Uganda's CTA trade with the East African region is dominated by the exportation of cotton lint and yarn. This pattern has remained consistent over the past few years. On the other hand, the country mainly imports apparels and other madeup textile items from the region. Total exports into the region were US\$9 million in 2020 while total imports from the region was US\$24.3million.

2.5.4 Uganda's domestic market potential

Exports of CTA products from Uganda over the last decade have accounted for about 2.8% of total exports. Although volatile, Uganda exports of CTA products have been on increase over the last decade reaching \$60.3 million in 2020. Raw cotton lint contributes majority of the CTA export earnings accounting for 62% of total exports. This is followed by Apparels and made-ups at 19%, man-made fibres and filaments at 11%, used textile products at 6% and textiles at 2%. This indicates that over 79% (Cotton, Man-made staple fibres and filaments and used textile products) of the textiles exports was generated through nonvalue addition products comprising of raw materials and re-exports.

Figure 11: Distribution of Uganda's CTA Exports by Product Segment

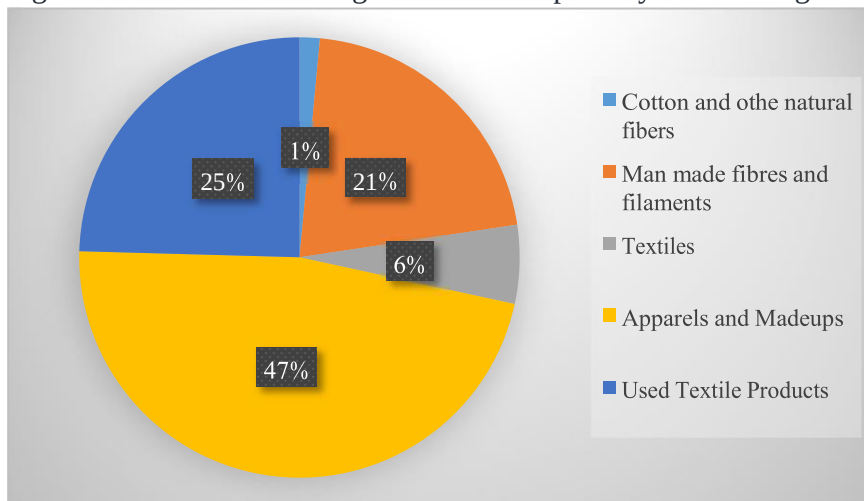


Source: COMTRADE database

Imports of CTA products particularly apparels and made-ups have also been on the rise. In 2020, Uganda Imported USD 372.4 million worth of CTA products. Apparels and made-ups accounted

for majority of the CTA import bill at 47%, followed by used textile products at 25%, man-made staple fibres and filaments at 21%, textiles at 6%, and cotton and other natural fibres at 1%.

Figure 12: Distribution of Uganda's CTA Imports by Product Segment



Source: COMTRADE database

Uganda has one of the highest population growth rates (3.3%) in the world. Current projections show that Uganda's population will reach 100 million by 2050. This population comprised largely of young people with kin interest in fashion provides a tremendous opportunity for the growth of a domestic textiles market.

Nationally, there is growing domestic demand for substantial volumes of fabric for occupational and institutional clothing requirements. These include institutions in the education, health, security and sports subsectors.

The expanding domestic demand for textiles and apparels is further demonstrated by the size of the current import bill. Total imports for the CTA sector in Uganda alone are currently over US\$ 252 million. Of this, US\$ 56 million is for new clothing and US\$ 83 million for worn clothing.

Uganda imports some US\$ 38 million of furnishing fabrics, drapes, blankets, sheets, towels tarpaulins, homeware, and the like. There is certainly opportunity to replace a significant volume of these imports if efficient and diversified manufacturing industries were established.

3 NATIONAL POLICY CONTEXT FOR CTA INDUSTRY DEVELOPMENT

3.1 General overview

The policy framework for the CTA industry is embedded in the Government of Uganda's medium and long-term development strategies that recognize industrialization as a pathway to attainment of the national development goal of socio-economic transformation. These strategies outline priority industries that have great potential in the realization of Uganda's national development agenda. The CTA industry presents unique potential for the country because of its ability to create multiplier effects in the wider economy including the capacity to catalyse the growth of other secondary industries through backward and forward linkages. The CTA strategy therefore contributes to the attainment of development targets as set out in a wide range of national policies and strategies as described below.

3.2 Vision 2040 and the National Development Plan

Uganda Vision 2040 provides the long-term planning framework for the country. Uganda's overall development vision is "A Transformed Ugandan Society from a Peasant to a Modern and Prosperous Country within 30 years". The Uganda Vision 2040 provides the framework for addressing the strategic bottlenecks that have hindered the social economic transformation of the country since independence in 1962. These include inadequate infrastructure; a small market; lack of industrialization; underdevelopment of the agricultural sector; among others. In order to address these bottlenecks, the country will strengthen the fundamentals to harness the opportunities in agriculture, tourism, minerals, oil and gas. Strengthening the fundamentals includes investing in infrastructure (especially energy, transport, oil & gas and ICT), human resources, peace and security and Science, Technology, Engineering and Innovation (STEI). The vision identifies industrialization as a key pathway to attainment of its goals and targets. In particular, it highlights the development of labour-intensive manufacturing industries such as the CTA industry as priority areas of action for achieving the vision.

The NDPIII is the third in a series of six five-year plans that implement the Vision 2040. The NDPIII aims to increase household incomes and improve the quality of life of Ugandans through sustainable industrialization for inclusive growth, employment and sustainable wealth creation. This will be attained through the pursuit of five key objectives: enhance value addition in key growth opportunities; strengthen the private sector to create jobs; consolidate and increase the stock and quality of productive infrastructure; enhance the productivity and social wellbeing of the population; and strengthen the role of the state in guiding and facilitating development. The CTA strategy goal and objectives are consistent with the overall national development agenda and provides an important framework necessary for the industry to contribute to the attainment of the set development targets.

3.3 National Industrialization Policies

Industrialization is one of the priority policy focus of Government as set out in the National Development Plan III. Consequently, a number of policies and strategies have been adopted to guide action in this area. The Programme for Industrialization under the National Development Plan III

and the National Industrial Policy provides the overarching framework for Uganda's industrialization agenda. In particular, the vision of the National Industry Policy is to build a fully integrated, competitive, high value and productive industrial sector in Uganda. The policy seeks to increase the manufacturing value-added as a percentage of GDP from 8.3% in 2018/19 to 16% in 2029/30. The policy prioritizes cotton and textiles as one of the key industries for development towards attainment of policy goal and objectives.

3.4 National Trade Policy Framework

In 2007, Government adopted the Uganda National Trade Policy setting out its commitment to transform Uganda into a dynamic and competitive economy in which the trade sector stimulates the productive sectors; and to trade the country out of poverty, into wealth and prosperity” Specifically, the policy proposes to: enhance the competitiveness of Uganda's products and services in the domestic, regional and international markets, facilitate the smooth flow of trade, while ensuring that trade conforms to national and international laws and regulations, strengthen trade support institutions (such as those dealing with trade policy, standards, trade facilitation/customs, and provision of trade information), secure and maintain improved market access to the regional and international markets for Uganda's goods and services and provide trade/market information to traders to enable them reach prudent and optimal investment decisions. In addition, Uganda is a signatory to key regional and global trade agreements that address a wide range of trade and market access issues relevant to the CTA industry.

3.5 National Textile Policy

The National Textiles Policy was adopted in 2009 to provide a framework for the development of Uganda's textile industry. At the time of its promulgation, the policy sought to provide a framework for improving the capacity of production, marketing, and competitiveness of the existing textile enterprises and to reduce the cost of doing textile business in the country, among other things. It was envisaged that the policy would provide the framework for improving the quality and quantity of products from the textile sub-sector by developing textile industrial parks that attract garmenting as well as developing a strong multi-fibre raw materials base for the sector.

There is general consensus among the CTA industry actors that the National Textiles Policy was never fully implemented. This is in spite of the fact that the policy objectives set out then remain relevant. The lack of effective implementation of the policy is attributed to absence of an effective coordination mechanism to ensure that appropriate financial and human resources were deployed to facilitate its implementation. More importantly, the policy did not put sufficient emphasis on mobilizing the private sector and using the market to drive its implementation.

3.6 Policies and strategies to strengthen export capacity

Government is committed to developing and promoting exports as part of the strategies to achieve the development vision set out in Vision 2040. The strategic vision is to increase and diversify exports, identify new export market destinations in regional and emerging markets, and ensure that Uganda's exports are competitive and meet international market standards. The National Exports Development Strategy adopted in 2017 placed the development of cotton-based exports in the

second tier of priorities. However, the regional and global market landscape for CTA clearly shows that the industry presents great potential for the country and must become a priority for the country. It is also important to note that the CTA industry is an important enabler of the Buy Uganda Build Uganda policy because of its potential to boost domestic CTA industry capabilities.

3.7 Policy context for building a sustainable and green CTA industry

From the farm to the consumer, the textile, retail, and apparel production industry has an array of economic, environmental, social, and governance impacts. From an environmental perspective natural and synthetic fibres used as raw material need a substantial amount of water and energy for their production, respectively. Secondly, there is significant environmental impact during fabric chemical processing, which uses large quantities of chemicals, auxiliaries, energy, and water leading to the generation of significant amount of effluent. In addition, substantial amount of water and energy are consumed for the care and maintenance of clothing during their use.

Across the CTA industry value chain, the trend among industry actors is shifting towards green and sustainable production and manufacturing. Within an industry ecosystem, green manufacturing is understood as the production of manufacturing products that use processes that are non-polluting, conserve energy and natural resources, and are economically sound and safe for employees, communities, and consumers. Manufacturing is “green” when it helps reduce the footprint it leaves on the natural environment and on the health of those producing and using what is produced. On the other hand, manufacturing is described as “sustainable” when it has both a present- and forward-looking orientation and manages three mutually reinforcing objectives of fostering economic growth and competitiveness, reducing social inequalities, and preserving the natural resource base and environment.

Current trends and policy directions show that the global momentum to reduce carbon emissions is accelerating, and the textile and fashion industry is projected to play a key role or even be a pace setter in this momentum. According to Nielsen’s 2016 Global Corporate Sustainability Report, sales of consumer goods from brands with a demonstrated commitment to sustainability have grown more than 4 percent globally, while those without grew less than 1 percent. These trends suggest that global CTA industry players are ramping up their efforts at sourcing from sustainable and ethical suppliers. The African Development Bank suggests that a variety of designers, suppliers and consumers are increasingly adopting and championing the adoption of more sustainable approaches to cotton production, textiles manufacturing and consumption. Essential features of this shift involve: eco-friendly and non-depleting materials selection; environmentally friendly manufacturing processes; green supply chain, distribution, and retailing; and ethical consumption.

The current state of Uganda’s CTA industry provides an immense opportunity to ensure that its further growth is underpinned by the commitment to green and sustainable production and manufacturing processes. Indeed, this Strategy seeks to pursue the three public policy imperatives of industrialization, green growth and inclusive growth as articulated in global, continental, regional and national policy frameworks.

Globally, the Sustainable Development Goals (SDGs) provide the overall global policy framework for cooperation to address global development and sustainability challenges. The SDGs comprises of 17 aspirational goals that address the social, economic, and environmental dimensions of sustainable development. With 169 targets to be met by the year 2030, and over 232 indicators for measuring progress, the SDGs are designed to stimulate positive outcomes for people, planet, prosperity, peace, and partnerships.

A number of the SDGs covering poverty, hunger, health and well-being, education, equality, sanitation, decent work, and production reflect contemporary challenges and risks facing the apparel and textile value chain and hence provide a framework for cooperation between government, CTA industry actors and society to address these challenges while at the same time meeting the development targets set out under each of these goals.

At the continental level, Agenda 2063 of the African Union articulates a high-level vision of “an integrated, prosperous and peaceful Africa, driven by its own citizens and representing a dynamic force in the global arena”. The first aspiration under this agenda is “a prosperous Africa, based on inclusive growth and sustainable development” in a context where “the environment and ecosystems are healthy and preserved, and with climate resilient economies and communities”. Agenda 2063 articulates a determination by the member states of the African Union to achieve structural transformation by: deepening industrialization; developing modern and productive agriculture; and investing in science, technology, and innovation.

This policy posture articulated under Agenda 2063 is reinforced by its alignment with the African Development Bank’s Strategy (2013-2020) objectives on inclusive growth and transition to green growth are closely (AfDB, 2013). The underlying assumption of the AfDB is that transitioning to green growth will protect livelihoods and improve water, energy and food security while promoting sustainable use of natural resources while at the same time fostering innovation, creating jobs and spurring economic development.

At the regional level, the East African Community Industrialization Policy (2012-2032) commits Partner States of the East African Community to pursue a vision of “a globally competitive, environment-friendly and sustainable industrial sector, capable of significantly improving the living standards of the people of East Africa by 2032”.

At the national level, the Uganda Green Growth Development Strategy, 2017 (UGGDS) provides the specific policy framework to guide Uganda’s efforts in the pursuit of environmentally friendly production and green manufacturing. The UGGDS sets out a vision of “a transformed Ugandan society from a peasant to a modern prosperous country within 30 years”. Specifically, the purpose of the UGGDS is stated as to provide “a framework and/or guidance and governance system that aims at catalysing economic growth through the efficient use of the country’s natural, human, and physical capital in an inclusive manner along a low emissions development path”. The goal of the policy is “an inclusive low emissions economic growth process that emphasizes effective and efficient use of country’s natural, human, and physical capital while ensuring that natural assets continue to provide for present and future generations.

It is therefore evident that pursuing sustainable and green manufacturing in the CTA industry is consistent with Uganda's global, continental, regional and national policy commitments. At the same time, such an approach will position Uganda's CTA industry in a competitive position for global outsourcing and market access. However, upon the adoption of this strategy, appropriate investments will be put into developing baseline data for the industry, identifying applicable and relevant compliance standards, developing collaboration with industry actors to develop appropriate compliance targets and timelines. This will require focus on identifying the environmental, social, management, quality and ethical parameters that will need to be embedded in any regulatory or voluntary compliance regime for the industry.

4 SITUATIONAL ANALYSIS OF UGANDA'S CTA INDUSTRY

4.1 Status and Trends in Uganda's CTA Industry

4.1.1 Lint and yarn production

The cotton, textiles and apparels industry provide a clear pathway to unlocking Uganda's potential to create jobs and increase domestic enterprise growth, attract foreign direct investment, and build a dynamic innovation ecosystem around the industry value chain. However, this potential is not yet fully developed and hence this effort to articulate a clear strategic direction for the industry. The current landscape to produce cotton as a major raw material in the CTA industry shows that there is considerable room for increasing yield and quality of cotton fibre in sufficient quantities.

The current status of the industry shows considerable room for growth and the potential to build a highly competitive industry value chain built around Uganda's history as a produce of quality cotton. Globally, Uganda is recognized as one of the few countries that grows only one variety of Cotton. Ugandan farmers cultivate only the Bukalasa Pedigree Albar (BPA) type cotton whose origins trace back to the American upland varieties (Allen and sunflower). BPA cotton is known to be a finer fibre of medium to long staple length, silky and well known for its spin-ability. Using one variety of cotton seed enables the production of cotton, yarn and fabric with consistent quality throughout the country.

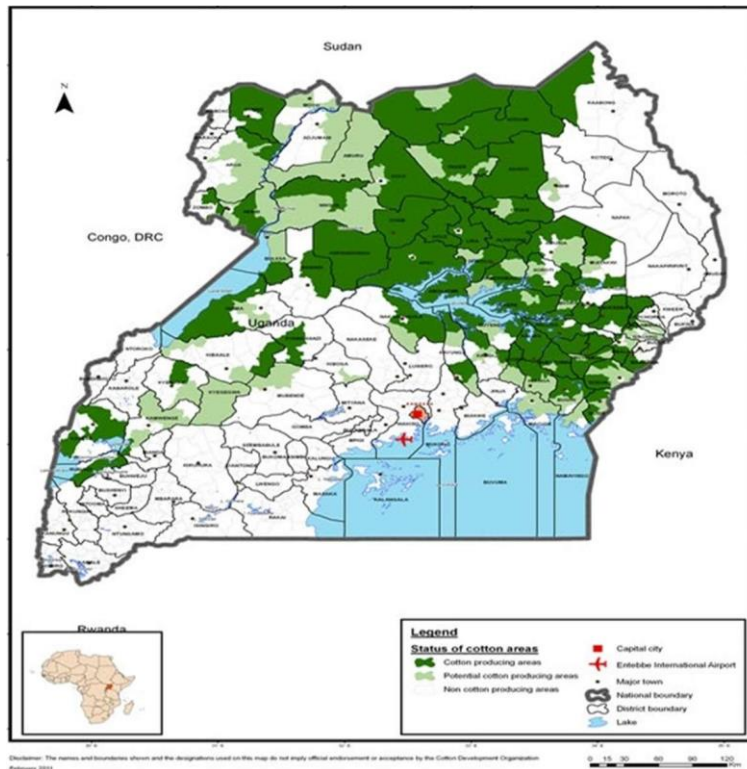
Cotton is currently grown in 67 districts in Busoga, Bukedi, Bugisu, Teso, Langa, Acholi, West Nile, Bunyoro, parts of Buganda and Kazinga Channel Regions¹. Uganda's cotton is largely grown by small holder farmers on an average of 0.5Ha using handheld tools. The growing is entirely rain fed and handpicked during harvesting giving its lint superior fibre characteristics, as compared to machine-picked cotton. The total area under cotton cultivation in Uganda has fluctuated over the years due to various factors, including unfavourable weather conditions, price decline and lack of farm inputs (Ahmed and Ojangole, 2012). For instance, the total area fluctuated from 101,215 ha to 68,000 ha between 2008 and 2009, then increased to 80,000 ha in 2010² and had increased to 109,312 by 2017³. It should also be noted that cotton production has not reached its historic peak of 1960s and remains far below the estimated potential of 1,000,000 bales at full employment level (Government of Uganda, 2009).

Figure 13: Cotton producing areas and potential production areas in Uganda

¹ MAAIF (2020). Cotton Thematic Area - Framework Implementation Plan for Agro-industrialization 2020/21 – 2024/25

² MAAIF, 2011. Statistical Abstract 2011. MAAIF. Entebbe, Uganda.

³ CDO, 2018



Source: Cotton Development Organisation, Uganda

Time series data (Figure 14) shows that Uganda's cotton production has varied considerably from the highs of 400, bales during the mid and late 1960s, the lows of the mid 1980s and a consistent recovery since 2014 levelling at around 37,000MT per year since 2014. The data shows that cotton yields remain very low and for the period between 2013 and 2017, the yields varied between 700 and 850 kg/ha of seed cotton. This yield remains well below the international average of 900 kg/ha and even far lower than what is obtained by the leading cotton producing countries, such as China at 1,270 kg/ha, Israel at 1,700 kg/ha.

Figure 14: Uganda Cotton production in '000 tonnes (1961-2020)

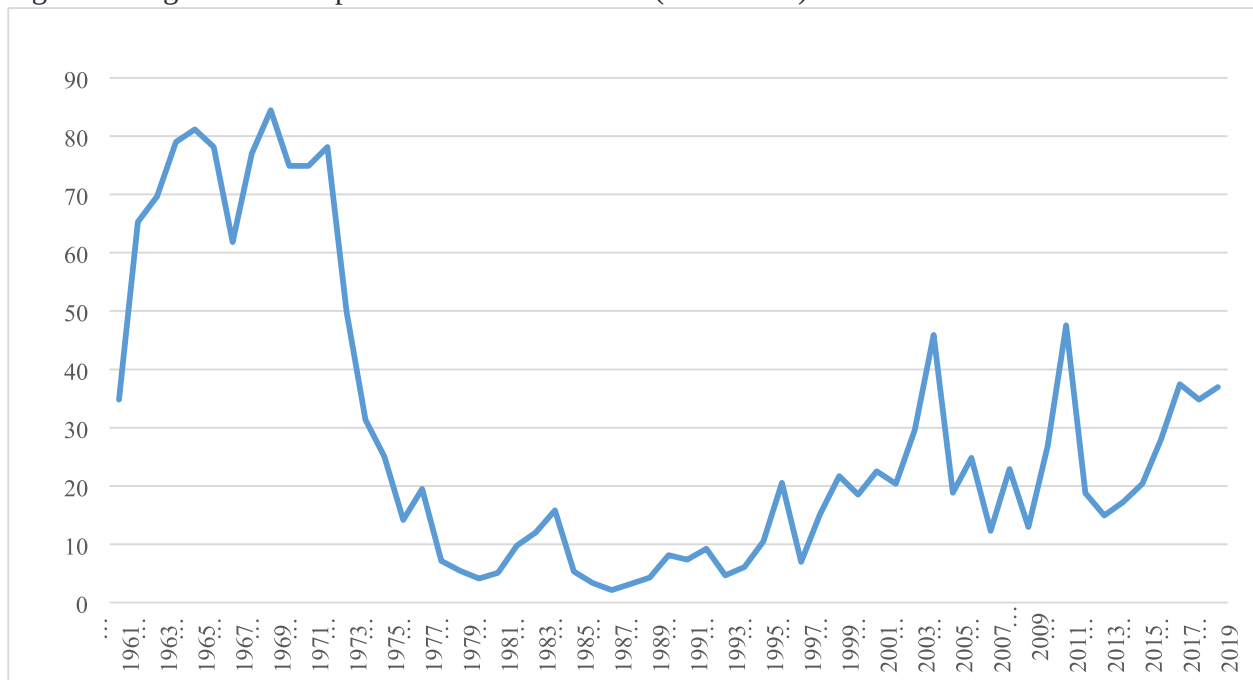
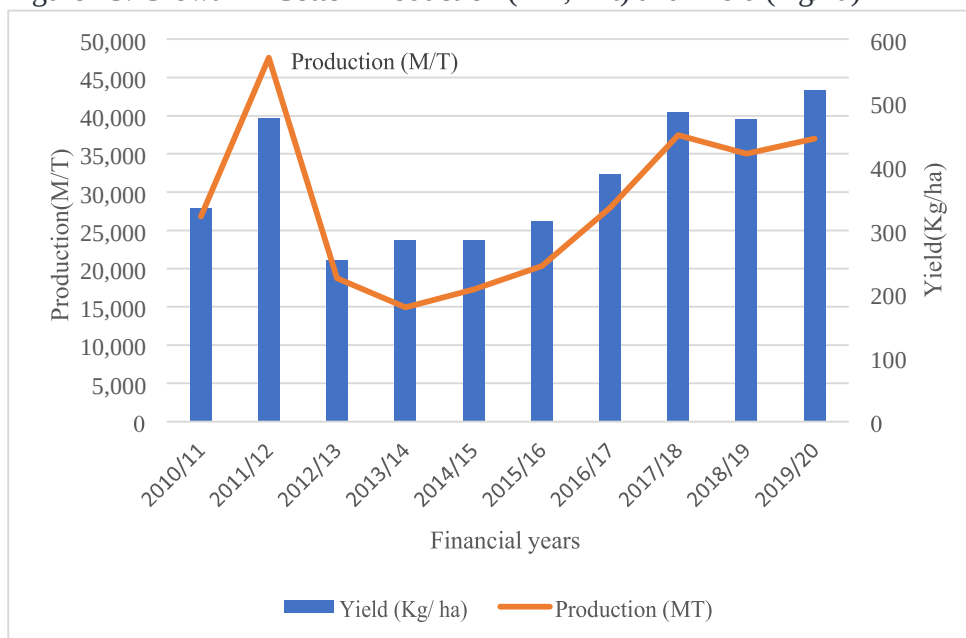


Figure 15: Growth in Cotton Production (MT, lint) and Yield (Kg/ha)



Source: International Cotton Advisory Council, CDO

Government has already embarked on a wide range of initiatives to increase cotton production and productivity. A dedicated cotton research programme is focussing on promoting breeding of improved seed varieties. Government is also committed to the mechanization of cotton production. For example, Uganda Prisons Services has already developed approximately 6,000 acres of cotton

farmland with the target of reaching 20,000 acres. These initiatives will be expanded through a series of interventions that mobilize more people to engage on cotton farming, channelling public funding and attracting foreign direct investment to increase mechanization of cotton production.

4.1.2 Cotton ginning operations

The conversion of cotton seed into lint is undertaken at the ginning segment of the CTA industry value chain. Currently, Uganda has 39 ginneries with an installed ginning capacity of close to one million bales per day. The ginneries are located in the main cotton-growing regions: The Eastern, Northern, West Nile, Mid-West, Central and Western Regions. According to the Cotton Development Authority, 33 ginneries are privately owned while 6 others are owned by the cooperative societies.

Uganda predominantly uses roller-gin technology, which is preferred for preserving the integrity of the cotton fibre. Only 3 of the 39 ginneries use saw-gin units. According to the CDO, lint outturn usually ranges between 40% and 44%. Since seed cotton is hand-picked, its lint has superior fibre characteristics, as compared to machine-picked cottons.

4.1.3 Textile Milling operations

Uganda has two companies operating vertically integrated textile mills whose processes start from spinning to garmenting. These mills consume an average of 5% - 10% of the total lint produced in the country. They have a combined spinning capacity of 26,900 spindles, weaving capacity of 125,000 meters/day and knitting capacity of 8.2 tons/day. These mills are also engaged in garmenting operations.

Table 5: Production capacities for Uganda's Integrated Textile

Textile Mill	Spinning capacity/ Spindles	Weaving/ Meters per day	Knitting/ tons day	per pieces month
Southern Range Nyanza Limited	11,900	125,000	3.5	520,000
Fine Spinners	15,000		4.7	450,000
Total	26,900	125,000	8.2	970,000

Source: EAC CTA Country Studies, 2018

4.1.4 Garmenting

Besides the two integrated textiles mills, the garmenting component of Uganda's CTA value chain is dominated by micro and small-scale enterprises using mostly imported fabric. Production of garments is largely for the domestic and regional markets, focused on production of suits, corporate

promotional wear, bed sheets, curtains, uniforms for selected institutions such as schools and security forces and a wide range of knits and coarse casuals. Furthermore, there exists a vibrant cottage industry of hand-made items, comprising mostly household items (e.g., upholstery, curtains and bed covers) and a broad range of apparel, including ceremonial and bridal wear. Women or women's groups run the majority of these enterprises.

While still at its infancy, the global and regional market landscape presents a tremendous opportunity for Uganda's CTA industry. This strategy is designed to enable expand its presence in the regional and global CTA industry market by taking deliberate actions to increase operations at the various stages of the value chain right from ensuring the production of quality cotton in sufficient quantities to efficient integrated textile mills operations to fashion, design, logistics and trade operations.

Exports of CTA products from Uganda over the last decade have accounted for about 2.8% of total exports. In 2020, CTA exports from Uganda amounted to a value of 60.3million US\$. Although volatile, Uganda's CTA exports have been on increase over the last decade. Raw cotton lint contributes majority of the CTA export earnings accounting for 62% of total exports, followed by Apparels and made-ups at 19% manmade fibres and filaments at 11% used textile products at 6% and textiles at 2%. This indicates that over 79% (Cotton, Man-made staple fibres and filaments and used textile products) of the textiles exports was generated through nonvalue addition products comprising of raw materials and re-exports.

4.2 Strength, Weaknesses, Opportunities and Threats (SWOT) Analysis of the Uganda CTA Industry

Uganda is a producer of high-quality homogenous cotton which is sought after among the best in the world. The availability of a stable supply of cotton which eases the procurement of raw material coupled with economical labour makes the country an attractive investment destination for major players in CTA. The country has access to the COMESA and EAC regional markets and is land linked to 4 of the other 5 states in the EAC making it the perfect geographical location from which to produce for the EAC regional market.

The Government of Uganda's strong will towards promotion of the CTA value chain is clearly demonstrated through the provisional preferential electricity tariff of 5US cents per Kwh offered to integrated textile mills, financing of the national cotton buffer stock to ensure all year-round availability of cotton for manufacturers. In recent years, major improvements have been made to the country's road infrastructure, power generation and transmission, the ICT infrastructure, Customs procedures, financial transaction processes, ease of doing business, investment incentives.

Despite the above-mentioned strengths, there is still limited inward investment into Uganda's CTA value chain principally due to a lack of investor understanding the Country's comparative advantage. Uganda has not established a firm marketing strategy for its CTA value chain and as a result its competitive advantage remains unknown to the major players in the global CTA industry.

Uganda's CTA Industry is however threatened by aggressive promotional campaigns by other countries in the region to attract investors and buyers. Competing countries are providing redcarpet treatment to investors with aggressive policies and turnkey manufacturing infrastructure. Uganda must leverage its strength through aggressive promotional campaigns of its own to overcome this threat.

Uganda stands to significantly benefit from opportunities emerging from the global trends in the CTA industry. International brands and retailers are showing unprecedented interest in establishing sourcing destinations in East Africa. Owing to this trend Ethiopia has attracted tens of billions of dollars in CTA related FDI in the past 10 years while Kenya has established itself as sub-Saharan Africa's largest exporter of apparel to the USA under AGOA. Uganda is in an even much better a position to benefit from this groundswell of interest. Furthermore, the ongoing trade dispute between the USA and China is undermining the competitiveness of China's apparel exports while a number of other Southeast Asian countries, such as Cambodia and Myanmar, are coming under increasing scrutiny by European and USA authorities with regard to their human rights record. All these factors are driving interest in establishing new sourcing destinations like Uganda which have preferential trade arrangements with USA and Europe.

As a result of conscious consumerism, the major brands and retailers are mindful of the value of their brand name and are extremely averse to reputational risk. This phenomenon creates endless opportunities like Uganda which naturally gifted to sustainably produce and process quality cotton while being compliant with environmental and social standards, including the conditions of employment. The main takeaway from the Situation Analysis is that Uganda has much to offer prospective CTA investors and it is competitive in terms of these offerings. The constraints identified can be mitigated to attract inward investment and enhance the current production capacity.

The market for textiles and apparels is massive and continues to expand. The sourcing destinations of these commodities is dynamic and constantly changing due to prevailing geo-politics and other global trends. Currently, major interest is being expressed by international buyers to source from sub-Saharan Africa and East Africa in particular. Given the preferential trade advantage Uganda enjoys into some of these key markets and its many other positive indicators, the country is in an excellent position to develop a vibrant textile and apparel industry built on locally produced cotton and drive transformational change.

4.3 Enabling the CTA Industry Value Chain Operations

The strategic actions outlined in this strategy will be implemented to ensure that Ugandan citizens and foreign investors are attracted into the CTA industry. This implies that public investments and private sector operations will need to be oriented towards eliminating structural and other constraints to the growth of the industry. The priority enablers for the CTA industry value chains are analysed below.

4.3.1 Cost of power

Uganda has made enormous strides in the generation and transmission of electricity in recent years. It is now generating surplus electricity and tariffs have dropped significantly as additional capacity comes online. The provision of a stable power supply at a competitive tariff is critical to the spinning, weaving, knitting, and finishing segment of the CTA value chain. For spinning and weaving energy can account for up to 35% of overall costs. Government is committed to ensure that a competitive price of 5USCents/KW hr is provided for in appropriate legislation or another instrument.

4.3.2 Logistics

With the improvement in road infrastructure, border, and customs facilities, and streamlined customs procedures; transit times from Uganda to the Mombasa port have been reduced to between 5 and 7 days. This is reasonably competitive. Congestion on the national roads, particularly around Kampala, would suggest that the best place to establish an initial textile and apparel cluster would be in Jinja. This would ensure a reduction of three to four hours in transit time to Mombasa Port. Once the Entebbe/Jinja Express Way is constructed the Entebbe Free Zone Park would become a viable option.

4.3.3 Water

Downstream industry in the CTA value chain uses large volumes of water particularly in the fabric dyeing and garment finishing processes. Uganda is endowed with a plentiful supply of water. According to a review of water resources in Uganda published in the journal of water resource and Protection in 2014, surface water resources constitute about 41743.2km² of area which accounts for around 17% of the total land area. Additionally, Uganda receives an annual water supply of 66 km³ in form of rain and inflows.

4.3.4 Human capital

One of the main attractions for foreign direct investment (FDI) in the apparel production sub-sector is the availability, cost, and quality of labour. Uganda has a population close to 40 million of which 12 million falls into the 15 to 29 age bracket (30% of the population) and a further 18 million are below 15 years of age. They also communicate fluently in English language making it easy for them to be trained.

4.3.5 Markets

The global textiles market was estimated at USD 1 trillion in 2020. It is estimated to grow at an annual compound rate of 4.4% to reach USD1.4 trillion by 2028. The USA and EU dominate the market in terms of per head consumption and they are serviced by major country producers like China, Vietnam, and Bangladesh as well as significant production facilities in Southeast Asia, Central and South America. However, current trends show that East Africa is increasingly becoming an attractive sourcing destination. In addition, the African regional and sub-regional trade preferences regime provide potential for new markets. This strategy will guide government in

creating an enabling environment for expanding the CTA industry and penetrate existing and emerging markets for textiles and apparels.

4.3.6 Buyers

Africa, and in particular East Africa has, in the past few years, attracted the interest of international buyers who wish to diversify their source of production. Buyers (who include global brands like Calvin Klein, Ralph Lauren, Victoria's Secret, Levi's, Nike, etc.) are a critical pillar because they are the ones that influence investment decisions of factories and mills. Most buyers guarantee orders for their manufacturers to relocate and without buyer commitment no company will cross into a new market unless there are significant fiscal incentives provided. Uganda now has the opportunity to attract the support of major buyers who have clients that are keen to take advantage of the tax-free advantages. Increasing presence of major buyers such as PVH in the region are evidence of the growing interest of the global textiles and apparels businesses in the East African market.

4.4 Constraints to development of Uganda's CTA industry

The growth, expansion of Uganda's CTA industry will be influenced by the rate at which current structural, technical, and other constraints are mitigated or eliminated. The following are the key constraints the CTA industry strategy will seek to address.

Low skilled and unproductive labour force. While Uganda has a high supply of labour, most of it is low skilled, low productive and therefore requires significant investments in training and development. Substantial gaps especially appear in areas of textile engineering and technology, textile, fashion, and design skills, as well as middle management skills.

Underdeveloped physical infrastructure specifically for CTA industry. It is important to note that there is limited built industrial space dedicated for textile and apparel operations in the country. The ongoing initiative by government to establish industrial parks and other industry infrastructure facilities provide a tremendous opportunity for facilitating the establishment of dedicated CTA industrial spaces across the country.

Inefficiencies in logistics services impose extra costs in terms of time and money. Road transport remains the dominant mode of transport in Uganda accounting for over 95% of the goods transportation. The railway, air and water transport while underdeveloped provide viable alternatives that need to be explored if Uganda is to meet the quick logistical needs of the CTA industry. For Uganda to develop a competitive CTA industry, it requires an efficient system of logistics that is capable of managing growing imports of raw materials and time sensitive exports.

Underdeveloped market information and trade intelligence. The CTA sector in Uganda lacks access to timely and reliable market information and trade intelligence that can enable them meet specific buyer requirements. Moreover, many local textile and apparel producers lack an appreciation and understanding of client preferences, contractual arrangements, packaging requirements of their potential trading partners in the developed markets. The companies, on their own, also lack the skills and the resources to undertake independent market research. Related to the above, is the lack of

interest and expertise in effectively engaging with potential clients. For instance, a local textile company that was linked to a potential client in Canada, simply failed to respond to emails in a timely manner. This lack of professionalism in dealing with potential leads, is also a challenge that needs addressing if the country is to succeed in international markets.

Branding and name recognition – Although Uganda as an investment destination for CTA investors is quite attractive, it suffers from limited branding and name recognition. Uganda has not fully developed and articulated its unique selling points with regard to cotton, textiles and apparel. References to Uganda's cotton being of high quality in sub-Saharan Africa, only next to Egypt, have failed to effectively articulate the country's value proposition. The country through the Uganda Tourism Board has attempted to promote Uganda, as a good destination for tourists. However, the messaging has been unclear, and these efforts have been largely unsuccessful in translating into FDI in the CTA sector

Lack of a CTA specific investment incentives package- In our engagements, it was clear that there is no standard incentive offering to investors in this sector. In the absence of this, investors are expected to negotiate individual deals with the Government. Moreover, some of the excellent incentives like the US\$ 0.05/KwH power tariff, have not been formalized, at all. Rather, the Government offers to the companies a tax rebate, which is meaningless to an investor who has already been offered a tax holiday, as an inducement to invest.

Limited promotion of investment opportunities in Uganda. The CTA sector in most countries has been primarily driven by foreign capital, technology, and expertise. Consequently, Uganda needs to engage in targeted investment promotion efforts that will attract vertically integrated investors, who have assured markets for their products. The Uganda Investment Authority (UIA) and the Uganda Export Promotion Board (UEPB), as the principal investment promotion and export development agencies, respectively, are under resourced and lack the expertise to engage in targeted marketing and investment promotion efforts for this sector. Consequently, UIA has limited itself to relying on the country's missions abroad to reach out to potential investors, attending a few trade promotion events and offering investor facilitation services to those investors who have already shown interest in Uganda.

Low cotton production and productivity at farm level. Cotton production in Uganda is predominantly undertaken by smallholder farmers that inadequately use improved inputs such as fertilizers, mechanization, agrochemicals, improved storage, etc which has led to slow growth in productivity and production volumes. Possibilities for investments in increased cotton production techniques are hampered by low and unstable cotton prices.

High cost of financial capital and limited financing options. Access to capital is a challenge to domestic entrepreneurs as most of them mainly access financial capital through debt financing but this is very costly with average interest rates of 19.5 percent. Further, the terms required to secure the loans, including repayment period of five years and huge collateral demands such as land or buildings are unfavourable for long-term capital investment requirements of the CTA industry. While Uganda Development Bank does provide preferential interest rates (12.5%) and long-term

loans, its portfolio remains very small. Other financing options such as equity financing are underdeveloped and therefore underutilized. The limited access to affordable and diversified financing options for CTA industry hinders the growth of the industry in scale and scope because both start-up and established firms are unable to obtain investment capital to finance plant upgrading, input costs of large orders and meeting other operational needs.

5 THE STRATEGIC DIRECTION OF THE CTA INDUSTRY

5.1 Goal and Strategic Objectives of the CTA Strategy:

The goal of this strategy is to develop ‘a globally competitive and sustainable cotton, textiles and apparels industry creating jobs and improving incomes across the value chain’. The strategy is built on three key pillars: (i) increased participation of Ugandan citizens, especially women and the youth, across the CTA industry value chain; (ii) increasing public sector investments in the CTA industry infrastructure to reduce structural impediments to the growth of the industry; and (iii) creating an enabling environment to attract foreign investments into the sector. These pillars summarize the overall policy posture of Government as articulated in the Uganda Vision 2040, the successive editions of the National Development Plan (NDP) and the variety of sectoral policies and strategies that guide governments development and transformation agenda.

This goal will be pursued and achieved by implementing the following 4 strategic objectives:

5.1.1 Increase availability of CTA industry raw materials and accessories

Increasing cotton production

Uganda’s cotton textiles and apparels industry is hinged on having a robust underlying supply of quality cotton. The policy of government is therefore to ensure a reliable supply of quality cotton feeding into the CTA value addition industry operations.

Improving availability of other essential raw materials and accessories

Synthetic fibres are important in fabrics manufacture since most of fabrics are blended with cotton and synthetic fibres. Additionally, dyes, starch, and garment accessories such as trims, buttons, elastics, zippers, labels, and badges among others contribute a significant cost to the garment. An enabling environment will be created to stimulate the production and availability of accessories that are essential for the full operation of the CTA industry value chain. The policy actions seek to encourage investors and citizens to establish ancillary industry operations or import accessories that support the industry at the different stages of the value chain.

5.1.2 Stimulate and attract investment in the CTA Industry

Improving business environment

This strategy prescribes policy actions that Government will implement to ensure that the business environment for investment in the CTA industry value chain is conducive. Government is committed to improve the supply of reliable and affordable electricity, access to affordable financing, as well as improvements of logistics that support the competitiveness of CTA industry operations.

Positioning Uganda as an attractive investment destination

Under this strategy, Government will pursue actions to position Uganda as the preferred investment destination for foreign investors.

5.1.3 Increase access to markets

Government will take deliberate actions to ensure that Uganda's textiles and apparels penetrate the regional and global markets. This will involve initiatives to take advantage of existing preferential markets such as the United States under AGOA and the European Market under the EBA initiative. Through deliberate marketing initiatives such as trade shows, market intelligence, and promotion of green manufacturing, Uganda will be show-cased as a highly competitive sourcing destination for major international brands, fashion designers and retail firms. Given the value chain disruptions caused by the COVID19 pandemic, e-commerce operations will be supported and promoted as a vehicle to expand access to regional and global markets. Local market promotion leveraging public sector procurement will also be promoted.

5.1.4 Enhance the efficiency of CTA industry performance through technology upgrades and skills development

Facilitate the acquisition of appropriate equipment and technology upgradation

Government will facilitate the acquisition of appropriate value addition infrastructure and support upgradation of technology to increase the efficiency of CTA industry operations. The policy of government is to source and attract concessional financing necessary to achieve technology upgradation, acquisition of appropriate technology to the industry and green certification of CTA firms operating in the country.

Developing specialized skills for increased productivity

Government is committed to ensure tailor skills development programmes that will help Uganda's CTA industry respond to the continuing changes in the CTA industry in terms of fashion, design, marketing, and retail operations, among many other changes. The ability to manage human resources, and update and upgrade the skill base of the labour force has become a defining feature of successful and competitive textile and apparel sectors globally.

Under this strategy, Government will support actions that enable transition from traditional institutionalized training to cover onsite skills development where managerial, product, and task-specific training can be delivered. The training programme will cover the full range of skills including technical, business processes, specialized services, standards conformity, and marketing operations, among other skills.

5.2 Strategic Interventions and Priority Actions

Pursuant to the goal and strategic objectives outlined, Government commits to implement the following strategic interventions and priority actions:

5.2.1 Strategic Objective 1: Ensure availability of cotton and other raw materials and inputs for the textile and apparels industry

Increase the production of quality cotton

- i) Strengthen the cotton research programme to develop, release and promote improved cotton varieties and production technologies
- ii) Establish large scale mechanized cotton farming through Public Private Partnerships
- iii) Establish and promote mechanisms for aggregation of small holder farmers
- iv) Strengthen and capitalize Lint Buffer stock revolving fund to guarantee cotton quality and improve price stabilization

Increase availability of raw materials and other inputs to the textiles and apparel industry

- i) Develop an attractive incentive package to attract manufacturers of non-cotton raw materials and accessories essential to the CTA Value Chain
- ii) Establish strategic non-cotton raw material and accessory manufacturing industries through Public Private Partnerships

5.2.2 Strategic Objective 2: Stimulate and attract investment in textile and apparel manufacturing

Improve Uganda's Business Environment

- i) Establish dedicated turnkey infrastructure (Geographical Clusters) for garmenting industries in all cities in Uganda.
- ii) Promulgate statutory instruments to implement preferential utility tariffs for textile and apparel industries.
- iii) Dedicate appropriate space within fully serviced industrial parks for establishment of 5 new integrated textile mills.
- iv) Improve access to affordable finance for expansion and establishment of large-scale CTA projects through public-private partnerships.
- v) Prioritize textile and garmenting industries for funding under UDB and MSC low-cost loan schemes.
- vi) Update the Electronic single window system to improve its ability to better handle CTA industry specific logistical challenges.

Position and promote Uganda as an attractive investment destination

- i) Promulgate a statutory instrument prescribing an incentives package for investors in the CTA industry
- ii) Participate in selected regional and international investment fora and trade fairs to promote Uganda's investment opportunities in the CTA industry
- iii) Support textile and apparel manufacturers to establish investment partnerships with targeted global brands, retailers, and investors.
- iv) Establish and convene a CTA domestic investors round table to attract local investors in the CTA industry value chain operations.
- v) Develop CTA bankable projects ready for investors to take-up

5.2.3 Strategic Objective 3: Increase access to global, regional and the domestic market

Increase access to global market

- i) Develop Uganda's image as a green manufacturing and compliant sourcing destination ii) Sponsor Ugandan firms to participate in international trade shows and tours to enable them to generate much needed B2B connections with Buyers
- iii) Support and promote establishment of e-commerce CTA businesses iv) Develop accreditation capabilities for domestic and international market supply with corresponding compliance systems.
- v) Support export-oriented textile and apparel industries establish and operate in free zones. vi) Continue to support the efforts to ensure that continuation of AGOA and other preferential market access regimes relevant to Uganda's CTA industry.

Increase access to regional market

- i) Negotiate for the introduction of specific duty on all imported garments into EAC to reduce under declarations
- ii) Develop garment sizing system for East African Community consumers iii) Organize tours to establish B2B connections between Ugandan Integrated textile mills garmenting factories in the region
- iv) Establish cost-effective warehousing and direct freight linkages to targeted African markets

Expand the domestic market for textiles and apparels

- i) Establish "Apparel Houses" in municipalities and cities to serve as one stop showcase facilities to domestic consumers and international buyers
- ii) Develop uniform policy targeting schools, police, security forces and other professions with a view to promoting 100% procurement of locally made garments.
- iii) Organize a dedicated annual "Textiles and Garment Exhibition" to showcase and create awareness on the available Ugandan garment brands to local consumers and connection with international garment buyers

5.2.4 Strategic Objective 4: Increase efficiency and productivity in the textile and apparels Industry

Bridge existing skills gap for the CTA industry value chain operations.

- i) Establish and implement a CTA industry skills development roadmap ii) Establish a fully equipped Centre of excellence for on-the-job training in textiles and apparels manufacturing
- iii) Support businesses to undertake on-site skills development
- iv) Foster partnerships between local businesses and training, and research and technology institutions, potentially through a centre of excellence.

- v) Develop and adopt an expatriate permit expediting process allowing firms in the industry to respond to rapid market demand shifts.

Invest in equipment and technology upgradation

- i) Support textile and apparel industries to undertake resource efficiency and cleaner production audits to enable them identify equipment and technology gaps
- ii) Support textile and apparel industries to undertake equipment and technology upgradation through concessionary financing.
- iii) Support textile and apparel industries to acquire green certifications

6 FINANCING FRAMEWORK AND RESOURCE MOBILIZATION

The commitment of Government is to ensure that the necessary finances are mobilized and deployed to ensure accelerated and timely implementation of the interventions set out in this strategy. The projected financing requirement over the medium-term period is UGX1,276 billion while an additional UGX1,930 billion is required over the long-term. This estimate is based on funding projections for NDPIII and the budget projections of key industry sector MDAs.

It is envisaged that the bulk of this financing will be mobilized and delivered within the frame of the NDPIII programmes. As set out in the strategic interventions, Government will design and put in place a package of incentives to attract financing from the private sector, multilateral funding agencies and development agencies. With the right policy posture, approximately 60 percent of the total financial resources required will be mobilized from the private sector, bilateral and multilateral financing institutions as well as development partners.

6.1 Summary of the Budget

The budget estimates for the implementation of the NCTAS budget was developed through an activity-based budgeting estimation process using the indicative costs of implementing the necessary strategic actions under each objective. A detailed annualized budget is presented in Appendix 2. These costs represent public, private and development partner financing necessary to implement the planned activities by mandated agencies and industry actors as indicated Chapter 5. The allocation of funding over the ten-year budget across the six strategic objectives is shown in Table 6:

Table 6: Budget Summary in Billion UGX

SN	Objective	Medium term 2021/22- 2025/26	Long term 2026/27- 2030/31	Total
1	Increase availability of cotton and non-cotton raw materials and inputs for the textile and apparels industry	389.15	164.5	553.65
2	Stimulate and attract investment into textile and apparel manufacturing	751.1	266.5	1,017.60
3	Increase access to market	34.1	25.25	59.35
4	Increase efficiency and productivity in the textile and apparels Industry	101.75	207.5	309.25
	Total	1,276.10	663.75	1,939.85

6.2 Resource Mobilization

The NCTAS will be funded through the National Budget Framework or Medium Term Expenditure Framework (MTEF) to support implementation of activities under the Public sector institutions. The METF stipulates the available resource envelope and sector ceilings for each year and allows for possible increases in the MTEF ceilings.

However, given the limited funding available, it is unrealistic to project that all the funding requirements can be met through the public budget exclusively. Additional resources will be mobilized through Debt from Multilateral Development Banks (MDBs) and export-import banks, equity from development finance institutions (DFIs), grants and impact investors, bond issuances through Uganda Security Exchange (USE), dividend and interest reinvestments and subsidiary Divestitures.

7 INSTITUTIONAL ARRANGEMENTS AND COORDINATION FRAMEWORK

The successful implementation of this strategy will largely depend on the full mobilization of institutions and actors across the CTA understory and at different levels of action. At the political level, it is important to mobilize political will at the legislative and ministerial level as well among the local government political leaders. At the policy level, it will be important to establish a coordination framework that ensures coherence and consistency among the mandated MDAs to ensure expeditious policy and decision making, mobilization of human, financial and other resources as well as ensuring inter-agency accountability for action of lack thereof.

The CTA strategy is an important instrument for delivery on a range of development programmes under the National Development Plan III (NDPIII). The programmes to which the Strategy is directly related include: (i) agro-industrialization; (ii) natural resources, environment, climate change, land and water management; (iii) private sector development; (iv) manufacturing (v) human capital development (vi) innovation, technology development and transfer; (viii) community mobilization and mind-set change; and (iv) regional development. In each of these programme areas, the CTA strategy can either be a delivery mechanism for the set objectives and targets or may benefit from the prescribed interventions. It is therefore important that a functional coordination and accountability framework be articulated to ensure synergy and leverage actions across these programme areas.

7.1 Political coordination and accountability

The minister responsible for Trade, Industry and cooperatives shall have the ultimate political responsibility for the implementation of the CTA strategy. To ensure political will to drive implementation of the strategy, the minister shall provide regular briefings to the lead ministers for all the relevant NDPIII programme areas as well the relevant committees of parliament.

7.2 Inter-Agency CTA Industry Strategy Technical Coordination Committee

An Inter-Agency CTA Industry Strategy Coordination Committee shall provide the technical coordination function and provide leadership for the implementation of the Strategy. The Committee

shall be convened and chaired by the Commissioner for Industry and shall have concurrent reporting responsibilities for the NDPIII Programme Working Groups. The Committee shall be comprised of senior technical officers at commissioner level or above designated by the mandated agencies. The Inter-Agency CTA Industry Coordination Technical Committee will develop and adopt its detailed terms of reference, accountability responsibilities and reporting procedures.

7.3 Roles and responsibilities of stakeholders

It is important that all stakeholders be mobilized to participate in, support and benefit from the implementation of this Strategy. The CTA industry stakeholders can be grouped into the following categories:

7.3.1 Political leaders

The wide range of political leaders at the national and local government level are an important resource for mobilizing industry actors to put emphasis on the implementation of this strategy. There are three important political constituencies that will be deliberately mobilized to support the implementation of this strategy:

First, the President will be mobilized to continue to give the right political and policy signals that are important in ensuring the mobilization of the resources needed to support the implementation of the Strategy. Secondly, a deliberate effort will be made to build an alliance of members of parliament who understand this strategy and can be its advocates both in and outside parliament. A strong advocacy lobby in parliament will be essential in mobilizing the financial and other resources needed to ensure implementation of this Strategy.

Finally, the implementation process will seek to build an alliance of local government political leaders, with a particular focus on those leaders hailing from the cotton growing regions, to become champions for the CTA industry in their respective regions. The Inter-Agency CTA Industry Technical Coordination Committee will ensure that mechanisms for outreach to the Uganda Local Governments Association and the local political leaders from the priority cotton growing regions are put in place and implemented vigorously.

7.3.2 Farmers and farmer organizations

Cotton farmers and cotton farmer organizations are the backbone of the Uganda's CTA industry. This strategy envisages very active participation of farmers and farmer organizations in the implementation of this strategy. To enlist the highest level of participation, Government shall ensure that implementation of some of the actions is directed through farmers' organizations while farmer representation in relevant policy and decision-making forums will be encouraged.

7.3.3 Private sector

The broad range of private sector stakeholders from ginners to fabric manufacturers, fashion designers and retailers will be mobilized to provide their inputs into the process of strategy implementation. Government is committed to create the necessary mechanisms and policy space to

ensure that the private sector are the drivers of the industry. In addition to the forums to be established as set out in the strategic objectives outlined in this strategy, the Inter-Agency CTA Industry Technical Coordination Committee shall ensure that appropriate resources are provided to support that full participation of the private sector in the implementation of this Strategy.

7.3.4 Training and research institutions

Government is committed to ensure that the process of implementation of this strategy is backed by tailored training programmes but is also driven by evidence and relevant data analytics. This will be achieved by engaging training institutions in designing appropriate training models. On the other hand, independent knowledge organizations such as think tanks will be engaged in developing and implementation research programmes that help generate policy relevant information, data, and analytics to provide appropriate evidence that support implementation of this Strategy.

7.3.5 Civil society organizations

This strategy will greatly benefit from service delivery and advocacy by Ugandan civil society organizations. Service delivery civil society organizations complement the functions of government especially at the farm and community level. On the other hand, advocacy civil society organizations are essential in ensuring that the implementation of the strategy is aligned to the interests of the communities and enhances objectives of equity and sustainable development. Advocacy civil society organizations are also important in promoting accountability from public sector institutions and the private sector. Government will create an enabling environment and support civil society organizations that seek to contribute to and support the implementation of the CTA industry strategy.

7.3.6 Financial institutions

Another important category of CTA industry stakeholders are the financial institutions including micro-finance institutions, commercial and development banks as well international financial institutions. Consistent with this strategy, Government shall convene regular forums with financial institutions to popularize this strategy and enlist the support of financial institutions in directing financial resources in support of the actions outlined in this strategy.

7.3.7 International development agencies

International development agencies are critical stakeholders in Uganda's CTA industry. They can provide important resources including funding, technical assistance, and policy support for the implementation of this strategy. Government will create appropriate mechanisms and forums to ensure the full mobilizations of international development agencies interested in supporting the implementation of this Strategy.

The Inter-Agency CTA Industry Technical Coordination Committee will ensure that the broad range of stakeholders are engaged in the implementation of this Strategy. This will be achieved by ensuring full participation of all stakeholders in the Annual High Level Policy Forum on the CTA Industry.

8 POLICY COMMUNICATION AND FEEDBACK STRATEGY

The implementation of this strategy will be reinforced by a deliberate effort to effectively communicate to the target stakeholders in the public sector, private sector, international investors, funders, and the general public. The Inter-Agency CTA Industry Coordination Technical Committee will develop and spearhead the production of a family of products to communicate the goal, strategic objectives and the intervention actions outlined. The following priority actions will be implemented to facilitate communication and feedback.

- i) Popular version – a simplified popular version of the strategy will be published and disseminated. The target audience of this popular version is mainly the policy makers, political leaders, and the public at the national and local government levels.
- ii) Podcasts on the benefits of the strategy – a series of podcasts featuring policy makers, manufacturers, fashion designers, farmers and other stakeholders explaining the benefits along the CTA industry value chain will be produced and disseminated to local, national, regional, and international audiences.
- iii) Animations – animations tailored to specific audiences such as young people, women and other stakeholder categories will be developed. Broadly, the purpose of these animations will be to attract and interest some of these audiences to take advantage of the opportunities presented by the CTA industry strategy.

9 MONITORING AND EVALUATION FRAMEWORK

9.1 Introduction

The Monitoring and Evaluation (M&E) framework for the strategy has been designed to adhere to the established performance assessment, reporting and accountability frameworks of Government, such as the Budget performance monitoring by MoFPED the Government Annual Performance Report (GAPR) by Office of the Prime Minister and the National Development Report of the NPA.

The framework articulates the roles and responsibilities of stakeholders, reporting and dissemination mechanisms. It also includes the results framework that will guide the data collection, analysis and reporting and information needed to assess implementation progress towards the realization of the Strategy goal and objectives.

The overall objective of the M&E framework is to support stakeholders in undertaking monitoring and evaluation of the NCTAS. The M&E framework will guide generation of data for:

- (i) Tracking progress in implementation of the strategy
- (ii) Evidence-based planning
- (iii) Accountability
- (iv) Institutional learning through data utilization and sharing; and
- (v) Decision making through measuring the performance, outcome, and impact of development interventions.

In order to avoid over-laps, the specific roles and responsibilities of key actors have been detailed in the M&E framework in addition to the institutional mandates.

9.2 Annual Performance Review

The Inter-Ministerial Manufacturing Industry Coordination Committee (IMICC) established under the National Industrial Policy, shall ensure that relevant MDAs incorporate activities of NCTAS under their respective strategic development plans and subsequently the annual work plans and budgets. MDAs shall undertake M&E activities and reporting based on their strategic development plans and annual work plans and Budget.

The Ministry responsible for Industry will compile data from the M&E reports developed by MDAs to produce the annual CTA industry performance report. This report will form part of the secondary data used for development of the Annual industrial sector performance report. The Annual Industrial sector performance report will feed into other high-level reporting by Ministry of Finance Planning and Economic Development, OPM, NPA and the Office of the President.

9.3 Reviews and Evaluation of the strategy

The Government of Uganda adopted the National Policy on Public Sector Monitoring and Evaluation, which defines the framework and M&E standards for public sector agencies. In adherence to this policy, the Ministry will:

- i. Conduct a baseline survey in the first year of the strategy to take stock of the conditions, situation, and basis for support of various interventions as planned. This baseline survey will refer to already existing data on the performance of the CTA Industry
- ii. Undertake a Mid-Term Evaluation that shall take stock of performance of the strategy halfway-through implementation (during FY 2022/23) and report on lessons learned, areas for improvement and recommendations for recourse, reform or remedial action.
- iii. Commission an External Final Evaluation which will be held during the last year of implementation (FY 2024/25) to evaluate the performance of the plan and utilize findings to design a successor strategy FY 2025/26 - FY 2029/30) that would be aligned to NDP IV.

9.4 Monitoring and Evaluation Results Framework

The NCTAS M&E Result Framework Sets Objectively Verifiable Indicators (OVIs) to measure progress at NDPIII Results Areas and strategy outcome and output levels as shown in annex 3.

ANNEX 1: IMPLEMENTATION MATRIX

Priority Actions	Target	Total Budget (Billion UGX)	Responsible Institution/s
Strategic objective 1: Increase availability of cotton and non-cotton raw materials and inputs for the textile and apparels industry			
Strategic intervention 1.1: Increase Cotton Production			
1.1.1 Strengthen the cotton research programme to develop, release and promote improved cotton varieties and production technologies	2 Improved cotton varieties developed per year	65.4	NARO
	Average Lint yield increased to 1000kg/ha		
1.1.2 Establish large scale mechanized cotton farming through Public Private Partnerships	50,000 Hectares of large-scale mechanized cotton farms cultivated	102.5	NEC/ UDC/ Uganda Prisons
1.1.3 Establish and promote mechanisms for aggregation of small holder farmers	100% of small holder farmers subscribing to Aggregation entities	9.25	CDO
	100,000 Metric tonnes of cotton produced by small holder farmers		
1.1.4 Establish and capitalization the Lint Buffer stock revolving fund to improve cotton price stabilization	Lint buffer stock increase to 378 billion UGX	360	MoFPED
Strategic intervention 1.2: Increase availability of raw materials and other inputs to the textiles and apparel industry			
1.2.1 Develop an attractive incentive package to attract manufacturers of non-cotton raw materials and accessories essential to the CTA Value Chain	80% of non-cotton raw materials and accessories produced in Uganda	1.5	MoFPED
1.2.2 Establish strategic non-cotton raw material and accessory manufacturing industries through PPPs	3 industries established to manufacture non-cotton raw materials and accessories produced in Uganda	15	UDC
Strategic Objective 2: Stimulate and attract investment in textile and apparel manufacturing			

Strategic intervention 2.1: Improve Uganda's Business Environment			
2.1.1 Establish dedicated turnkey infrastructure (Geographical Clusters) for garmenting industries in all cities in Uganda.	20 geographical clusters established	200	MTIC
Priority Actions	Target	Total Budget (Billion UGX)	Responsible Institution/s
2.1.2 Promulgate statutory instruments to implement preferential utility tariffs for textile and apparel industries.	Electricity tariff for integrated textile mills in reduced to 5 US cents	1.3	ERA
2.1.3 Dedicate appropriate space with in fully serviced industrial parks for establishment of 5 new integrated textile mills.	Acreage of land reserved in fully serviced industrial parks for establishment of integrated textile mills	0.5	UIA
2.1.4 Improve access to affordable finance for expansion and establishment of large-scale CTA projects through public-private partnerships.	7 Vertically integrated textile mills established or expanded	600	UDC
2.1.5 Prioritize textile and garmenting industries for funding under UDB and MSC low-cost loan schemes.	UDB and MSC loan portfolio towards textile and garmenting industries increased to 200 billion UGX	200	UDB/MS
2.1.6 Update the Electronic single window system to improve its ability to better handle CTA industry specific logistical challenges	URA electronic single window updated annually to support CTA industries	3.9	URA
Strategic intervention 2.2: Position and promote Uganda as an attractive investment destination			
2.2.1 Promulgate a statutory instrument prescribing an incentives package for investors in the CTA industry	Statutory instrument prescribing an incentives package for investors in the CTA industry in place	1.8	MoFPED
2.2.2 Participate in selected regional and international investment fora and trade fairs to promote Uganda's investment opportunities in the CTA industry	18 regional and international investment fora and trade fairs participated in	3.5	UIA

2.2.3 Support textile and apparel Manufacturers to establish investment partnerships with targeted global brands, retailers and investors.	350 investment partnerships established between local textile and apparel manufacturers and targeted global brands, retailers and investors	2.5	UIA
2.2.4 Establish and convene a CTA domestic investors round table to attract local investors in the CTA industry value chain operations.	80% of CTA Investment sourced from Local investors	1.2	UIA
2.2.5 Develop CTA bankable projects ready for investors to take-up	2 CTA Bankable Projects developed	0.9	UIA
Strategic Objective 3.0: Increase access to market			
Strategic intervention 3.1: Increase access to global market			

Priority Actions	Target	Total Budget (Billion UGX)	Responsible Institution/s
3.1.1 Develop Uganda's image as a green manufacturing and compliant sourcing destination	Consider legislating minimum requirements for manufacturers including ETP for all textile mills. 50% solar power generated and better incentives for factories that support the development of cyclical fibres or recycling facilities. All factories to undertake green audits and at least 50% of factories, HIGG, or WRAP certified by 2030.	2.25	MTIC
3.1.2 Sponsor Ugandan firms to participate in international trade shows and tours to enable them to generate much needed B2B connections with Buyers	10Business to business connections generated between Ugandan firms and foreign buyers every year	2.25	UEPB
3.1.3 Support and promote establishment of ecommerce CTA businesses	1 billion USD worth of CTA Exports sold	2.25	MICT
3.1.4 Develop accreditation capabilities for domestic and international market supply with corresponding compliance systems.	20 local manufacturers accredited every year	2.2	MTIC
3.1.5 Support export-oriented textile and apparel industries establish and operate in free zones.	40 CTA industries operating in free zones	4.5	UFZA

Strategic Intervention 3.1 sub-total		13.45	
Strategic intervention 3.2: Increase access to regional market			
3.2.1 Introduce specific duty on all imported garments into EAC to reduce under declarations	Specific duty on all imported garments into EAC in place	2	MTIC
3.2.2 Develop garment sizing system for East African Community consumers.	East-African garment sizing system developed for over 180 CTA products	1.8	UNBS
3.2.3 Organize tours to establish B2B connections between Ugandan Integrated textile mills garmenting factories in the region	25 garmenting factories in the region sourcing textiles from Ugandan integrated textile mills	2.25	MTIC
3.2.4 Establish cost-effective warehousing and direct freight linkages to targeted African markets	3 cost effective warehousing and direct freight linkages to targeted African markets established	30	MTIC
Strategic Intervention 3.3 Expand the domestic market for textiles and apparels			
3.3.1 Establish “Apparel Houses” in municipalities and cities to serve as one stop showcase facilities to domestic consumers and international buyers	20 Apparel Houses established	5.5	MTIC

Priority Actions	Target	Total Budget (Billion UGX)	Responsible Institution/s
3.3.2 Develop uniform policy targeting schools, police, security forces and other professions with a view to promoting 100% procurement of locally made garments.	100% of uniforms produced locally and from local raw materials	2.1	MTIC
3.3.3 Organize a dedicated annual “Textiles and Garment Exhibition” to showcase and create awareness on the available Ugandan garment brands to local consumers and connection with international garment buyers	1 textiles and Garment exhibition organized every year	2.25	MTIC
Objective 4.0: Increase efficiency and productivity in the textile and apparels Industry			

Strategic intervention 4.1: Bridge existing skills gap for the CTA industry value chain operations.			
4.1.1 Establish and implement a CTA industry skills development roadmap	CTA Industry Skills Roadmap established	1.3	MTIC
4.1.2 Establish a fully equipped Centre of excellence for on-the-job training in textiles and apparels manufacturing	1000 people trained by the centre of excellence every year	23	MTIC
4.1.3 Support businesses to undertake on-site skills development	Number of Businesses supported to undertake onsite skills upgradation programmes	4.5	MTIC
4.1.4 Foster partnerships between local businesses and training, and research and technology institutions, potentially through a centre of excellence.	10 Partnerships established between local Businesses and RTOs	0.45	MICT
4.1.5 Develop and adopt an expatriate permit expediting process allowing firms in the industry to respond to rapid market demand shifts.	Expatriate permit expediting process developed and adopted	0.05	MIA
Strategic intervention 4.2: Invest in equipment and technology upgradations			
4.2.1 Support textile and apparel industries to undertake resource efficiency and cleaner production audits to enable them identify equipment and technology gaps	20 CTA industries supported with equipment and technology upgradation every year	4.25	MTIC
Priority Actions	Target	Total Budget (Billion UGX)	Responsible Institution/s
4.2.2 Support Textile and Apparel industries to undertake equipment and technology upgradation through concessionary financing.	148 billion Ugx of concessionary financing accessed by CTA industries for equipment and technology upgradation	148	MTIC
4.2.3 Support Textile and Apparel industries to acquire green certifications	100% of CTA Industries with Green Certification	4.5	MTIC

ANNEX 2: ANNUALIZED BUDGET

Priority Actions	Responsible Institution/s	2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28	2028/29	2029/30	2030/31	Total Budget
Strategic objective 1: Increase availability of cotton and non-cotton raw materials and inputs for the textile and apparels industry												
Strategic intervention 1.1: Increase Cotton Production												
1.1.1 Strengthen the cotton research programme to develop, release and promote improved cotton varieties and production technologies	NARO		7.1	7	7.25	6.8	6.5	7.75	7.5	8	7.5	65.4
1.1.2 Establish large scale mechanized cotton farming through Public Private Partnerships	NEC/ UDC/ Uganda Prisons		20.5	20.5	20.5	20.5	20.5					102.5
1.1.3 Establish and promote mechanisms for aggregation of small holder farmers	CDO		0.75	0.75	0.75	0.75	1.25	1.25	1.25	1.25	1.25	9.25
1.1.4 Establish and capitalization the Lint Buffer stock revolving fund to improve cotton price stabilization	MoFPED		200	20	20	20	20	20	20	20	20	360
Strategy intervention 1.1 subtotal		0	228.35	48.25	48.5	48.05	48.25	29	28.75	29.25	28.75	537.15
Strategic intervention 1.2: Increase availability of raw materials and other inputs to the textiles and apparel industry												
1.2.1 Develop an attractive incentive package to attract manufacturers of non-cotton raw materials and accessories essential to the CTA Value Chain	MoFPED	0.2	0.5	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	1.5

1.2.2 Establish strategic non-cotton raw material and accessory manufacturing industries through PPPs	UDC	0	5	5	5							15
Strategic Objective 1.2 sub-total		0.2	5.5	5.1	5.1	0.1	0.1	0.1	0.1	0.1	0.1	16.5

Strategic Objective 1 Total		0.2	233.85	53.35	53.6	48.15	48.35	29.1	28.85	29.35	28.85	553.65
Strategic Objective 2: Stimulate and attract investment in textile and apparel manufacturing												
Strategic intervention 2.1: Improve Uganda's Business Environment												
2.1.1 Establish dedicated turnkey infrastructure (Geographical Clusters) for garmenting industries in all cities in Uganda.	MTIC		40	40	40	20	20	10	10	10	10	200
2.1.2 Promulgate statutory instruments to implement preferential utility tariffs for textile and apparel industries.	ERA		0.5	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	1.3
2.1.3 Dedicate appropriate space with in fully serviced industrial parks for establishment of 5 new integrated textile mills.	UIA		0.5	0.5	0.5	0.5	0.5					2.5
2.1.4 Improve access to affordable finance for expansion and establishment of large-scale CTA projects through public-private partnerships.	UDC		100	100	100	100	100	100				600
2.1.5 Prioritize textile and garmenting industries for funding under UDB and MSC low-cost loan schemes.	UDB/MS		200									200

2.1.6 Update the Electronic single window system to improve its ability to better handle CTA industry specific logistical challenges	URA		0.5	2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	3.9
Strategy Intervention 2.1 sub-total		0	341.5	142.6	140.8	120.8	120.8	110.3	10.3	10.3	10.3	1007.7
Strategic intervention 2.2: Position and promote Uganda as an attractive investment destination												
2.2.1 Promulgate a statutory instrument prescribing an incentives package for investors in the CTA industry	MoFPED		1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	1.8
2.2.2 Participate in selected regional and international investment fora and trade fairs to promote Uganda's investment opportunities in the CTA industry	UIA	0.35	0.35	0.35	0.35	0.35	0.35	0.35	0.35	0.35	0.35	3.5
2.2.3 Support textile and apparel Manufacturers to establish investment partnerships with targeted global brands, retailers and investors.	UIA	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	2.5
2.2.4 Establish and convene a CTA domestic investors round table to attract local investors in the CTA industry value chain operations.	UIA	0.3	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	1.2
2.2.5 Develop CTA bankable projects ready for investors to take up	UIA		0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.9
Strategy Intervention 2.2 sub-total		0.9	1.8	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	9.9
Strategic Objective 2 Total		0.9	343.3	143.5	141.7	121.7	121.7	111.2	11.2	11.2	11.2	1017.6
Strategic Objective 3.0: Increase access to market												

Strategic intervention 3.1: Increase access to global market												
3.1.1 Develop Uganda's image as a green manufacturing and compliant sourcing destination	MTIC		0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	2.25
3.1.2 Sponsor Ugandan firms to participate in international trade shows and tours to enable them to generate much needed B2B connections with Buyers	UEPB		0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	2.25
3.1.3 Support and promote establishment of e-commerce CTA businesses	MICT		0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	2.25
3.1.4 Develop accreditation capabilities for domestic and international market supply with corresponding compliance systems.	MTIC		0.5	0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.2	2.2
3.1.5 Support export-oriented textile and apparel industries establish and operate in free zones.	UFZA		0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	4.5
Strategic Intervention 3.1 sub-total		0	1.75	1.55	1.45	1.45	1.45	1.45	1.45	1.45	1.45	13.45
Strategic intervention 3.2: Increase access to regional market												
3.2.1 Introduce specific duty on all imported garments into EAC to reduce under declarations	MTIC			0.5	0.5		0.5	0.5				2
3.2.2 Develop garment sizing system for East African Community consumers.	UNBS		0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	1.8

3.2.3 Organize tours to establish B2B connections between Ugandan Integrated textile mills garmenting factories in the region	MTIC		0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	2.25
3.2.4 Establish cost-effective warehousing and direct freight linkages to targeted African markets	MTIC				10	10	10					30
Strategic Intervention 3.2 Sub-total		0	0.45	0.95	10.95	10.45	10.95	0.95	0.45	0.45	0.45	36.05
Strategic Intervention 3.3 Expand the domestic market for textiles and apparels												
3.3.1 Establish “Apparel Houses” in municipalities and cities to serve as one stop showcase facilities to domestic consumers and international buyers	MTIC		1	1	0.5	0.5	0.5	0.5	0.5	0.5	0.5	5.5
3.3.2 Develop uniform policy targeting schools, police, security forces and other professions with a view to promoting 100% procurement of locally made garments.	MTIC		0.5	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	2.1
3.3.3 Organize a dedicated annual “Textiles and Garment Exhibition” to showcase and create awareness on the available Ugandan garment brands to local consumers and connection with international garment buyers	MTIC		0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	2.25
Strategic Intervention 3.3 subtotal		0	1.75	1.45	0.95	0.95	0.95	0.95	0.95	0.95	0.95	9.85
Strategic Objective 3 Total		0	3.95	3.95	13.35	12.85	13.35	3.35	2.85	2.85	2.85	59.35

Objective 4.0: Increase efficiency and productivity in the textile and apparels Industry												
Strategic intervention 4.1: Bridge existing skills gap for the CTA industry value chain operations.												
4.1.1 Establish and implement a CTA industry skills development roadmap 4.1.2 Establish a fully equipped Centre of excellence for on-the-job training in textiles and apparels manufacturing	MTIC		0.5	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	1.3
	MTIC	3	5	12	3							23
4.1.3 Support businesses to undertake on-site skills development	MTIC		0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	4.5
4.1.4 Foster partnerships between local businesses and training, and research and technology institutions, potentially through a centre of excellence.	MICT		0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.05	0.45
4.1.5 Develop and adopt an expatriate permit expediting process allowing firms in the industry to respond to rapid market demand shifts.	MIA		0.05									0.05
Strategic Intervention 4.1 sub-total		3	6.1	12.65	3.65	0.65	0.65	0.65	0.65	0.65	0.65	29.3
Strategic intervention 4.2: Invest in equipment and technology upgradations												
4.2.1 Support textile and apparel industries to undertake resource efficiency and cleaner production audits to enable them identify equipment and technology gaps	MTIC		0.25	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	4.25

4.2.2 Support Textile and Apparel industries to undertake equipment and technology upgradation through concessionary financing.	MTIC		5	8	15	20	20	20	20	20	20	148
4.2.3 Support Textile and Apparel industries to acquire green certifications	MTIC		0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	4.5
Strategic Intervention 4.2 subtotal		0	5.75	9	16	21	21	21	21	21	21	156.75
Strategic Objective 4 Total		0	11.25	17.5	31.5	41.5	41.5	41.5	41.5	41.5	41.5	309.25
Grand Total		1.1	592.35	218.3	240.15	224.2	224.9	185.15	84.4	84.9	84.4	1939.85

ANNEX 3 : M&E RESULTS FRAMEWORK

	Indicator	Baseline	Target									Responsible
Result Areas		2021/22	2022/23	2023/24	2024/25	2025/26	2026/27	2027/28	2028/29	2029/30	2030/31	
Value of Cotton production industry Increased	Value of Cotton Production in Million USD		83	104	127	147	169	191	203	225	225	CDO
Value of CTA Exports Increased	Value of CTA Exports in Billion USD		0.125	0.25	0.75	1	1.25	1.5	1.75	2	2.5	UBOS
Number jobs along the CTA value chain increased	Number of jobs along the CTA value chain (Million jobs)		0.05	0.1	0.2	0.4	0.6	0.8	1	1.2	1.5	UBOS
Investment in the CTA value chain Increased	Gross Investments made in the CTA industry in Billion USD		0.5	0.8	1.5	2	2.5	3	3.5	4	5	UIA

Strategy Outcomes												
1. Availability of cotton and non-cotton raw materials and inputs for the textile and apparels industry increased	Metric Tonnes of cotton lint produced		55,000	69,600	84,500	98,000	112,500	127,500	135,000	150,000	150,000	CDO
	Percentage of noncotton inputs readily available on the local market		10%	30%	50%	60%	70%	80%	80%	80%	80%	MTIC
2. Investment in the CTA Value Chain Increased	Gross Investments made in the CTA Value Chain in Billion USD		0.5	0.8	1.5	2	2.5	3	3.5	4	5	UIA
3. Access to market increased	Gross Value of CTA exports		0.1	0.2	0.4	0.8	1	1.3	1.8	2	2.5	UBOS
	Contribution of locally manufactured textiles to domestic consumption		40%	45%	50%	55%	60%	65%	70%	75%	80%	UBOS
4. Efficiency and Productivity of the CTA Industry Increased	Efficiency of Uganda's CTA industries in	30%	40%	60%	70%	80%	90%	100%	100%	100%	100%	MTIC

	Indicator	Baseline	Target									Responsible
	comparison to similar businesses in China.											
Strategy Outputs												
1.1. Cotton research programme strengthened to develop, release and promote improved cotton varieties and production technologies	Number of Improved cotton varieties developed		2	2	2	2	2	2	2	2	2	NARO
	Average Lint yield per acre in kg/ha	428	500	580	650	700	750	850	900	1000	1000	

1.2. Large Scale Mechanized cotton farms established under PPPs	Number of Hectares cultivated	0	10,000	20,000	30,000	40,000	50,000	50,000	50,000	50,000	50,000	50,000	NEC/ UDC/ Uganda Prisons
1.3. Mechanisms for aggregation of small holder farmers Established and promoted	Percentage of small holder farmers subscribing to entities		60%	70%	80%	90%	100%	100%	100%	100%	100%	100%	CDO
	Metric tonnes of cotton produced by small holder farmers		50,000	58,000	65,000	70,000	75,000	85,000	90,000	100,000	100,000	100,000	CDO
1.4. Lint Buffer stock revolving fund established and capitalized to improve cotton price stabilization	Size of lint buffer stock in Billion UGX		189	219	246	265	284	321	340	378	378		MoFPED
1.5 Attractive incentive package to attract manufacturers of noncotton raw materials and accessories essential to the CTA Value Chain developed	percentage of noncotton raw materials and accessories produced in Uganda		10%	30%	50%	60%	70%	80%	80%	80%	80%	80%	MTIC
1.6 Strategic non-cotton raw material and accessory manufacturing industries established through PPPs	Number industries established to manufacture non cotton raw materials and accessories produced in Uganda		1	1	1								UDC

	Indicator	Baseline	Target									Responsible

2.1 Dedicated turnkey infrastructure (Geographical Clusters) for garmenting factories in all cities in Uganda Established.	Number of geographical clusters established		4	8	12	14	16	17	18	19	20	MTIC
2.2 Statutory instruments to implement preferential electricity tariffs for integrated textile mills promulgated	Average Electricity tariff for integrated textile mills in US cents		5	5	5	5	5	5	5	5	5	ERA
2.3 Dedicate appropriate space with in fully serviced industrial parks for establishment of 5 new integrated textile mills.	Acreage of land reserved in fully serviced industrial parks for establishment of integrated textile mills		30	30	30	30	30					UIA
2.4 Access to affordable finance for expansion and establishment of vertically integrated textile mills improved	Number of Vertically integrated textile mills established or expanded		3	1	1	1	1					MTIC
2.5 Textile and garmenting factories prioritized for financing under UDB and MSC.	UDB and MSC loan portfolio towards textile and garmenting industries		10	40	60	80	100	150	180	200	200	UDB/MSC
2.6 Electronic single window system updated to improve its ability to better handle CTA industry specific logistical challenges	Number of CTA related Updates to the electronic single window		1	1	1	1	1	1	1	1	1	URA
2.7 Statutory instrument prescribing an incentives package for investors in	Statutory instrument prescribing an incentives package											MoFPED

	Indicator	Baseline	Target									Responsible
the CTA industry promulgated	for investors in the CTA industry in place											
2.8 Selected regional and international investment fora and trade fairs participated in to promote Uganda's investment opportunities in the CTA industry	Number of regional and international investment fora and trade fairs participated in		2	2	2	2	2	2	2	2	2	UIA
2.9 Local Textile and apparel manufacturers supported to establish investment partnerships with targeted global brands, retailers and investors.	Number investment partnerships established between local textile and apparel manufacturers and targeted global brands, retailers and investors		20	50	100	150	180	200	250	300	350	UIA
2.10 CTA domestic investors round table established and convened to attract local investors in the CTA industry value chain operations.	Percentage of Annual CTA Investment from Local investors		20%	30%	40%	50%	60%	70%	80%	90%	100%	UIA
2.11 CTA bankable projects developed	Number of CTA Bankable projects developed		2	2	2	2	2	2	2	2	2	UIA
3.1. Uganda's image as a green manufacturing and compliant sourcing destination developed	Number of global brands sourcing from Uganda		3	5	8	10	15	18	20	25	30	MTIC

3.2. Ugandan firms sponsored to participate in international trade shows and tours to enable them to	Number of Business-to-Business connections generated between		10	10	10	10	10	10	10	10	10	MTIC
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	Indicator	Baseline	Target									Responsible
generate much needed B2B connections with Buyers	Ugandan firms and foreign buyers											
3.3 E-commerce CTA businesses established	Value of CTA Exports sold through e-commerce platforms in Billion USD		0.05	0.1	0.3	0.4	0.5	0.6	0.7	0.8	1	MoICT
3.4 Domestic accreditation capabilities for domestic and international market supply with corresponding compliance systems established	Number of local manufacturers accredited as compliant domestic and international suppliers		20	20	20	20	20	20	20	20	20	MTIC
3.5 Export oriented textile and apparel industries supported to establish and operate in free zones	Number of CTA industries operating in free zones		5	10	20	25	28	30	32	35	40	UFZA
3.6 Specific duty introduced on all imported garments into EAC to reduce under declarations	Specific duty on all imported garments into EAC in place											MoFPED
3.7 Garment sizing system for East African Community consumers developed	Number CTA products with East African garment sizing system		20	40	60	80	100	120	140	160	180	UNBS

3.8 Tours to establish B2B connections between Ugandan Integrated textile mills garmenting factories in the region organized	Number of garment factories in the region sourcing textiles form Ugandan integrated textile mills		2	5	8	10	12	15	18	20	25	MTIC
3.9 Cost-effective warehousing and direct freight linkages to targeted	Number of costeffective warehousing and direct freight linkages				1	1	1					MTIC

	Indicator	Baseline	Target									Responsible
African markets established	to targeted African markets established											
3.10 “Apparel Houses” established in municipalities and cities to serve as one stop showcase facilities for local brands to domestic consumers and international buyers	Number of Apparel Houses established		4	8	12	14	16	17	18	19	20	MTIC
	Number of Local Brands displaying their products in Apparel houses		30	40	50	60	70	80	90	100	120	MTIC
3.11 Uniform policy targeting schools, police, security forces and other professions with a view to promoting 100% procurement of locally made garments developed	Percentage of uniforms produced locally and from local raw materials		60%	65%	70%	75%	80%	85%	90%	95%	100%	MTIC
3.12 Annual “Textiles and Garment Exhibition” to showcase and create	Number of textiles and Garment exhibitions organized		1	1	1	1	1	1	1	1	1	MTIC

awareness on the available Ugandan garment brands to local consumers and connection with international garment buyers.	Number of Ugandan Brands show cased at the textiles and garment exhibitions		30	40	50	60	70	80	90	100	120	MTIC
4.1 Establish and implement a CTA industry skills development roadmap.	CTA Industry Skills Roadmap established											MoES
4.2 Establish a fully equipped Centre of excellence for on-the-job training in textiles and apparels manufacturing	Number of people trained by the centre of excellence		1000	1000	1000	1000	1000	1000	1000	1000	1000	MTIC

	Indicator	Baseline	Target									Responsible
4.3 Support businesses to undertake on-site skills upgradation programmes	Number of Businesses supported to undertake onsite skills upgradation programmes		20	20	20	20	20	20	20	20	20	MoES
4.4 Foster partnerships between local businesses and training, and research and technology institutions	Number of Partnerships established between local Businesses and RTOs		10	10	10	10	10	10	10	10	10	MTIC
4.5 Expatriate permit expediting process developed and adopted to allow firms in the industry to respond to rapid market demand shifts.	Expatriate permit expediting process developed and adopted											MIA

4.6 Textile and Industries supported to undertake resource efficiency and cleaner production audits to enable them identify equipment and technology gaps.	Number of CTA industries Supported to undertake research efficiency and cleaner production audits		20	20	20	20	20	20	20	20	20	MTIC
4.7 Textile and Apparel industries supported to undertake equipment and technology upgradation through concessionary financing	Number of CTA industries supported with equipment and technology upgradation		20	20	20	20	20	20	20	20	20	MTIC
	Amount concessionary financing accessed by CTA industries for equipment and technology upgradation in Billion Shillings		5	8	15	20	20	20	20	20	20	MoFPED
	Indicator	Baseline	Target									Responsible
4.8 Textile and Apparel industries supported to acquire green certifications	Percentage of CTA Industries with Green Certification		20%	30%	40%	50%	60%	70%	80%	90%	100%	MTIC